Marketing Management

Complete unit-wise study book - BBA III Semester · Core Course III (F010303TN) · 25 + 75 marks

> **What is inside**
>
> - For each of the 4 units: **Part A Notes** · **Part B Important questions** · **Part C Detailed model answers** (2, 3, 5, 6 and 10 marks).
> - **Appendix - Exam Master:** answer framework, syllabus map, mnemonic bank, flowcharts and the last-night plan.
> - Sources: your syllabus image (marketing.jpeg) and the Marketing PDFs for Units I-III. Unit IV (4Ps) has no notes PDF: it follows the syllabus topics and standard textbooks - check it with your class notes.
>
> **Exam:** Thu 26 Nov 2026, 11:30 AM - 1:30 PM, written (2 hours). Lectures: Unit I 11 · Unit II 11 · Unit III 10 · Unit IV 13.

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UNIT I

Introduction to Marketing, Core Concepts, Orientations, Green and Digital Marketing

Part A - Notes

Unit I-A · Meaning, Nature, Scope & Importance

> **Quick revision:** Marketing = identifying, anticipating and satisfying customer needs profitably. It is broader than selling. Kotler: a *social process* by which people obtain what they need and want through creating, offering and freely exchanging products and services of value.

1.1 Meaning

Marketing is the process of identifying, anticipating and satisfying customer needs and wants through creation, promotion and distribution of products or services. It involves analysing the market, understanding customer preferences and building strategies to reach and engage customers.

Selling and sales promotion are integral parts of marketing but **not everything**. Marketing is a broader term concerned with identifying needs and wants of consumers and finding ways and means to satisfy them.

1.2 Definitions

Author / body	Definition
Philip Kotler	Planning and executing the conception, pricing, promotion and distribution of ideas, goods and services to create exchanges that satisfy individual and organisational objectives. (Also: "a social process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value with others.")
Chartered Institute of Marketing	The management process responsible for identifying, anticipating and satisfying customer requirements profitably.
American Marketing Association	The activity, set of institutions and processes for creating, communicating, delivering and exchanging offerings that have value for customers, clients, partners and society at large.
Kotler & Armstrong	The process of creating, communicating, delivering and exchanging offerings that have value for customers, clients, partners and society at large.
Harvard Business Review	Understanding customer needs and creating products and services to meet those needs profitably.

1.3 Nature of Marketing

- Key business function that helps organisations create and capture value
- Not just selling – it is about creating value and building long-term relationships
- Covers market research, product development, pricing, promotion, distribution
- Communicates value of offerings and differentiates from competitors
- Builds brand image and reputation
- Dynamic – evolves with technology and consumer behaviour
- Both an **art and a science** (creativity + analysis + strategy)
- Both **proactive** (creating demand) and **reactive** (responding to demand)
- Applies to products, services, ideas, causes and even people
- Essential for profit and non-profit organisations; a global phenomenon

- Linked with sales, finance and operations; needs cross-department collaboration
- Must align with overall business goals; targets specific segments with customised messages
- Needs continuous monitoring and evaluation; influenced by economic, social and technological factors
- Increasingly **data-driven**; uses advertising, PR, direct and digital communication
- Needs skills: creativity, communication, analysis, project management
- Both an academic discipline and a professional field; can influence attitudes and perceptions

1.4 Marketing Management

> Marketing management is the functional area of management concerned with **planning, organising, directing and controlling** activities related to marketing of goods and services to satisfy customers' wants. It is the process of creating, planning, executing and evaluating marketing strategies to achieve organisational objectives.

Process of Marketing Management

1. Choosing a target market
2. Creating demand for the product
3. Creating superior value

1.5 Scope of Marketing Management

Area	Role
Market understanding	Needs and wants of customers, competition in the industry
Customer satisfaction	Meet expectations → high satisfaction
Product development	Develop new and improve existing products
Competitive advantage	Position product/service in market
Branding	Create recognisable, differentiated brand image
Promotion & advertising	Increase awareness and sales; reach potential customers
Pricing	Right price based on demand and competition
Distribution	Product at right place and time
Sales	Train and motivate sales force; sales forecasting
CRM & loyalty	Long-term relationships, excellent service
Market research	Information on needs and trends
Segmentation & positioning	Divide market into segments; position on customer needs
Consumer behaviour	Study buying process and purchase decision
International marketing	Expand into foreign markets
Innovation	In products, strategies and channels
Profitability & market share	Marketing activity must generate profit; widen customer base
Reputation & PR	Positive brand image, handle negative publicity, manage stakeholders
Social responsibility	Support social causes, ethical practices
Strategic planning	Align marketing goals with organisational objectives

1.6 Importance of Marketing Management

- Identifies customer needs and wants; guides development of products and services
- Creates a strong brand image, positive corporate image and reputation
- Builds customer relationships and loyalty; handles complaints
- Increases sales and revenue
- Helps identify and select target markets; identifies competitors' strengths and weaknesses
- Determines pricing strategy; develops advertising, promotion, sales and distribution strategies

- Gives insight into consumer behaviour and market trends; enables adaptation to change
- Provides competitive advantage; helps product positioning
- Measures effectiveness of marketing efforts; gives feedback for improvement
- Helps identify and manage marketing risks; supports informed decisions
- Creates long-term value for the business

1.7 Marketing vs Selling

Marketing	Selling
Focus on customers' needs	Focus on sellers' needs
Begins **before** production	Begins **after** production
Product planning and development	Sale of goods
Customer oriented	Product oriented
Profit through consumer satisfaction	Profit through sales volume
"Seller beware"	"Buyer beware"
Macro approach	Micro approach
Long-term perspective	Short-term perspective

Important exam questions

- Define marketing. Explain its nature and scope.
- Distinguish between marketing and selling.
- Explain the importance of marketing management.

Unit I-B · Core Concepts, Functions & Role

> **Quick revision:** Six core concepts: needs & wants, product/service, value, exchange, relationships, marketing mix (4Ps: product, price, promotion, place).

2.1 Core Concepts of Marketing

Concept	Meaning	Example (from notes)
Customer needs & wants	Foundation of all marketing; identified through surveys, focus groups, segmentation	Apple saw demand for phone + music player + internet device → iPhone
Product or service	Offering built to meet those needs; right quality, features and attractive price	McDonald's range for different tastes
Value	Customers pay if they perceive value; marketers must communicate it	BMW – prestige and status
Exchange	Customer gives something of value (money/time) for a product; both sides must see value	Amazon – convenience for customers, profit for Amazon
Relationships	Trust, communication, understanding; long-term loyalty	Starbucks – atmosphere, personal service, social media
Marketing mix	Tools and tactics – the 4Ps	Nike

The 4Ps

P	Meaning	Example
Product	Tangible or intangible goods/services offered; designed for customer segments	Apple (iPhone, iPad, MacBook, Watch)
Price	Money paid; set considering costs, competition, demand; find optimal profitable point	Amazon – low prices, fast delivery

Promotion	Advertising, sales promotion, PR, personal selling – create awareness and persuade	Coca-Cola campaigns
Place	Distribution channels, physical and online; availability when and where wanted	Starbucks locations

2.2 Features of Marketing (class slides)

1. **Needs and wants** – marketing helps people get what they want; focus is satisfaction of needs and wants; marketer's job is to identify needs and develop products accordingly.
2. **Creating a market offering** – a complete offer of a product or service (size, quality, taste, price, availability).
3. **Customer value** – consumer buys on the value to satisfy need; marketer should always add value so customer prefers it.
4. **Exchange mechanism** – two or more parties come together to obtain a desired product or service, in return making a payment.

Simple marketing system

Industry (collection of sellers) → *goods/services* → Market (collection of buyers). Buyers send back *money*. *Communication* and *information* flow between both.

What is marketed?

Goods, services, ideas, persons, organisations, places, events, experiences, properties, information.

Marketer or seller

- A marketer is any person who takes a lead role in the process of exchange – normally the seller.
- Consumer seeks satisfaction by consuming; marketer provides satisfaction by offering products.
- Marketers create new needs in consumers' minds (washing machine, vacuum cleaner, cooking range, mobile phone).

2.3 Functions of Marketing (12)

#	Function	What it does
1	Gathering & analysing market information	Identify customer needs; analyse opportunities, threats, strengths, weaknesses
2	Marketing plan	Achieve marketing objectives, e.g. raise market share 20% in a year
3	Product designing & development	Change packing, price, size, colour, shape, design to meet needs
4	Standardisation & grading	Standardisation: uniform quality/price/packaging. Grading: classify by quality, size, weight (e.g. agri products, better price for better quality)
5	Packaging & labelling	Package protects in transit/storage and builds brand; label gives product specifications
6	Branding	Name or symbol to identify and differentiate (BMW, TATA, JIO, Coca-Cola)
7	Customer support service	After-sales service, complaints, maintenance, technical service
8	Pricing	Amount paid to obtain a product; sound pricing policy should attract all customers
9	Promotion	Inform and persuade – advertising, personal selling, sales promotion, publicity
10	Physical distribution	Planning, implementing and controlling flow of materials and goods from origin to point of use at a profit
11	Transportation	Makes product available at terminal point of consumption
12	Storage / warehousing	Goods produced in anticipation of demand must be stored safely

2.4 Role of Marketing

- **Role in a firm:** significant in achieving firm's objectives; customer satisfaction is key to survival and growth; what products to market depends on customer needs.
- **Role in the economy:** aids economic development, raises standard of living; accelerates economic activity → higher incomes, more consumption, increased savings and investment.

2.5 Modern Concept of Marketing

Built from: identification of markets → understanding needs and wants of customers → developing goods and services to satisfy needs → satisfy better than competitors → **profit maximisation**.

Key elements: customer orientation, integrated marketing, personalisation, relationship building, continuous improvement. Related ideas: **value proposition**, **integrated marketing communications** (e.g. Coca-Cola "Share a Coke"), **data-driven marketing** (Amazon), **customer experience** (Zappos), **relationship marketing** (Starbucks).

2.6 Emerging trends (slide)

Trend	Company	How it works
AI personalisation	Netflix	Analyses viewing habits; customises artwork and recommendations
Interactive content	Sephora	Virtual artist (AR) – try on makeup digitally
Omnichannel integration	Starbucks	Rewards app: order ahead, pay, track loyalty stars across mobile and in-store

Unit I-C · Marketing Orientations (5 Concepts)

> **Quick revision:** Production → Product → Selling → Marketing → Societal. Focus: volume/cost → quality → sales push → customer needs → people-planet-profit. Most modern firms blend the Marketing concept with Societal responsibility.

3.1 At a glance (class table)

Basis	Production	Product	Selling	Marketing	Social / Societal
Starting point	Factory	Factory	Factory	Market	Market, society
Focus	Quantity	Quality	Existing product	Customer needs	Customer needs and welfare of society
Means	Availability of products and affordable prices	Product improvement through better quality	Selling and promotional measures	Integrated marketing (selling for satisfaction rather than selling a product)	Integrated marketing
Ends	Profit through volume of production	Profit through quality products	Profit through sales volume	Profit through customer satisfaction	Profit through customer satisfaction and welfare of society
Example	Fast fashion, low-cost electronics	Apple, high-end watchmakers	Insurance, encyclopedia, timeshare	Amazon	Patagonia, The Body Shop

3.2 Production Concept

Assumes consumers prefer products that are **widely available and inexpensive**. Management concentrates on

improving production and distribution efficiency, scaling up to drive costs down. Suitable where demand is high and products have low differentiation (basic household goods; supply > demand industries such as agriculture, mining, manufacturing).

- Maximise **economies of scale**; streamline the supply chain; focus on efficiency; ensure availability
- **Henry Ford**: assembly line for Model T – "Any customer can have a car painted any colour he wants so long as it is black."
- **McDonald's**: standardised equipment, processes and ingredients; bulk buying; drive-thru for speed

Advantages: lower costs; consistency; high volume.
Disadvantages: lack of innovation; poor customer service.

3.3 Product Concept

Holds that consumers favour products offering the **highest quality, performance and innovative features**; companies keep refining, assuming a "better mousetrap" sells itself.

A **product concept** (idea) includes features, benefits and unique selling proposition; it guides development and is refined by consumer feedback.

- Examples: Apple iPhone, Nike Air Jordan, Tesla Model S, Coca-Cola
- Suitable for technology and luxury goods

Advantages: customer satisfaction; innovation; competitive advantage; brand loyalty.
Disadvantages: high costs (R&D); limited customer focus (ignores price, convenience, service); risk of failure; changing customer needs.

3.4 Selling Concept

Assumes consumers will **not buy enough** unless the firm undertakes large-scale selling and promotion. Focus is on pushing the sale, often at the cost of long-term relationships. Uses telemarketing, door-to-door, email campaigns, infomercials. Used for unsought goods and in competitive markets (insurance, real estate, cosmetics, pharmaceuticals, cars).

- Examples: GM discounts in early 2000s; infomercials; Amway; Procter & Gamble heavy advertising

Advantages: maximises sales; action-focused; may encourage innovation.
Disadvantages: short-term focus; lack of customer focus; high costs; customers feel pressured.

3.5 Marketing (Modern) Concept

Shifts focus from "finding the right customers for your product" to **"finding the right products for your customers"**. Success comes from understanding target-market needs and delivering satisfaction better than competitors. Customer-centric; builds long-term relationships (Amazon, Apple, Nike, Zappos, Coca-Cola, Starbucks).

Advantages: customer satisfaction; improved brand image; increased sales; long-term profitability.
Disadvantages: costly market research; risk of over-emphasising customer needs (profit/sustainability); limited scope in some industries; difficult to implement (mindset shift).

3.6 Societal Marketing Concept

Strategy should deliver value to customers while preserving or enhancing **both consumer and society's long-term well-being** – balancing company profit, consumer wants and public interest (**People, Planet, Profit**). Suited to healthcare and energy.

Key principles: customer satisfaction; societal welfare; long-term profitability; ethical and transparent practice.

- Patagonia – recycled materials, renewable energy, donates to environmental causes, encourages repair/recycle
- TOMS Shoes – "One for One" programme
- Unilever – sustainable business goals
- The Body Shop – natural products, ethical sourcing, community trade

Advantages: builds reputation and loyalty; competitive differentiation; long-term profitability; attracts socially conscious customers; better employee morale; less reputational risk; trust of stakeholders; innovation; supports UN SDGs; regulatory compliance.
Disadvantages: cost and time; complexity and hard-to-measure impact; limited control over societal trends; conflicting company-society goals; risk of being seen as opportunistic or inauthentic; insufficient data; resource demand.

Class activity: "Name that orientation"

Scenario	Orientation
No-frills airline brags only about rock-bottom fares and packed schedule	Production
Door-to-door vacuum salesperson using high-pressure tactics	Selling
Skincare startup surveys customers monthly and redesigns products from feedback	Marketing
Luxury pen maker obsessed with craftsmanship, ignoring price and surveys	Product
Coffee chain sources beans fairly and funds reforestation with every cup	Societal marketing

Important exam questions

- Explain the five orientations of marketers towards the marketplace.
- Compare production, product and selling concepts.
- Explain the societal marketing concept with examples; state its merits and demerits.

Unit I-D · Green Marketing

> **Quick revision:** Green (eco / environmental) marketing = promoting products as environmentally sustainable alternatives. Risk: **greenwashing**. Works only when "the green is real".

4.1 Meaning

Green marketing, also called eco-marketing or environmental marketing, is the practice of promoting a company's products to demonstrate their sustainability – sustainable packaging, products that reduce carbon footprint, eco-friendly distribution, or donations to nonprofit sustainability initiatives. It is part of a larger move toward ethical business and of **ESG** (Environmental, Social, Governance) practice. It may promote sustainability that is real or only perceived.

It shows up as: lower-impact manufacturing and energy use; redesigned/reduced/recyclable packaging; philanthropic and community initiatives; public ESG reporting.

4.2 Benefits

- **Appeals to a new market** – consumers want to know how products are made
- **Increases profitability and brand loyalty** – first movers stand out
- **Lowers overhead costs** – saving water, energy, waste disposal; lower maintenance
- **Helps the environment** – slows climate change; accountability

4.3 Disadvantages

- Accusation of **greenwashing** if done only to follow trends
- Initial cost increase – new technologies, materials, advertising (long-term savings follow)
- Large firms absorb costs more easily than small and mid-sized firms

4.4 Eight strategies for green marketing

1. Producing sustainable products (reusable straws, bottles)
2. Using sustainable materials (recycled, compostable packaging)
3. Responsible waste disposal
4. Opting for electronic marketing (less print)
5. Eco-friendly energy practices (solar, wind, hydro, geothermal)
6. Emission-minded shipping (bulk shipping, green shipping option)
7. Promoting a green alliance (donating to environmental nonprofits)
8. Investing in the community (recycling programmes, solar panels)

Four-part playbook (slides)

- **Product & process innovation** – recycled inputs, renewable energy, lower emissions
- **Green packaging** – refill stations, recyclable, less plastic
- **Philanthropy & purpose** – % of sales, causes
- **Transparent communication** – ESG reports, carbon labels, verifiable data

4.5 Indian examples

Sector	Company	Green initiative
Automotive	Tata Motors	Nexon EV – zero-emission urban mobility
Banking	SBI	Paperless banking, Green Channel Counters
FMCG	Godrej	"Good and Green" strategy
Paints	Kansai Nerolac	No heavy metals, low VOC paints
Electronics	Wipro	Energy-efficient computers, reduced e-waste

Global cases

- **Patagonia** – "Don't Buy This Jacket" ad, Worn Wear (repair/trade-in), 1% for the Planet, ~70% recycled materials
- **Nike** – Move to Zero, Reuse-A-Shoe
- **Starbucks** – Greener Stores, reusable cup discounts, renewable energy commitment

4.6 Greenwashing

Making environmental claims that are **false, exaggerated or unsubstantiated**. Cases: Kohl's & Walmart (US$5.5M FTC penalty, 2022, bamboo rayon textiles); TotalEnergies (French court, misleading "carbon neutral" claims, 2025); Danish Crown ("climate-controlled pork" ruled misleading).

Best practices

- Substantiate every claim (data, third-party certification)
- Make impact checkable (QR codes, carbon labels, ESG reports)
- Own mistakes quickly
- Match the message to the budget; keep it on-brand; product/process change first, then communicate

2025-26 trend: proof replaces promises – QR-enabled packaging, blockchain tracking, carbon labelling, AI-driven targeting.

Stats on slides: 73% say they will switch to brands aligned with eco values; ~10% willing to pay more for sustainable products.

Unit I-E · Digital Marketing

> **Quick revision:** Digital marketing = any marketing on digital platforms. Online marketing (email, social ads, SEO) is a *type of* digital marketing. 8 channels: Website, PPC, Content, Email, Social, Affiliate, Video, SMS.

5.1 Meaning

Digital marketing uses websites, apps, mobile devices, social media, search engines and other digital means to promote and sell products and services. It has replaced reliance on TV, print and radio alone, letting brands target precise audiences and measure results instantly.

Digital vs online marketing: digital marketing = all strategies using digital services (social media, TV ads); online marketing = strategies executed via the internet. Online marketing is a type of digital marketing.

Evolution: Email era → Search & SEO → Social platforms → Mobile everywhere.

5.2 Benefits

- **Cost-effective** – levels the field for small businesses
- **Easy to measure** – track users across the buying cycle; real-time analysis
- **Drives engagement** – educate, answer, serve customers on one platform
- **Personalised** – segmentation by interests and history
- **Easy to update and optimise** – test headlines, fix typos instantly
- Higher ROI than traditional marketing through precise targeting

5.3 Types and Channels

Channel	Key points	Example
Social media marketing	Facebook, X, LinkedIn, TikTok, Instagram. *Inbound*: educational posts, paid ads, memes. *Outbound*: commenting, hashtags. Benefits: detailed targeting, brand awareness/trust, affordable, easy-to-monitor	Duolingo's TikTok
SEO	Appear in search results. Types: **Local, Technical, On-page, Off-page** (backlinks, PR)	–
PPC / SEM	Pay only when a user clicks. Benefits: track traffic (UTM), quick changes, targeted audience, wider reach	Nike bids on "running shoes near me"
Email marketing	Direct control; segmentation and personalisation; high ROI; AI-friendly; used at every funnel stage (abandoned cart, reviews)	Amazon "recommended for you"
Website marketing	Fast, mobile-friendly, represents the brand; the digital storefront	Apple.com
Content marketing	Valuable content, subtle, product not front and centre	Red Bull media
Affiliate marketing	Commission per sale/lead through creators	Amazon Associates
Video marketing	YouTube, Instagram, TikTok; pair with SEO and social	Sephora tutorials
Text / SMS	Promotions, news, donation requests	Domino's pizza-emoji reorder

5.4 KPIs (measuring success)

- **Click-through rate (CTR)** – % who clicked an ad of those who saw it
- **Conversion rate** – % who took the desired action (purchase, signup, download)
- **Social media traffic** – likes, follows, views, shares

- **Website traffic** – total visits in a period

5.5 Challenges

- Rapid channel proliferation
- Data overload
- Attention saturation

Part B - Important questions

1. Define marketing. Explain its nature, scope and importance.
2. Distinguish between marketing and selling.
3. Explain the core concepts of marketing.
4. Explain the five orientations of marketers towards the marketplace (production, product, selling, marketing, societal).
5. Explain the societal marketing concept with examples; merits and demerits.
6. Compare the production, product and selling concepts.
7. What is green marketing? Explain its benefits, strategies and the risk of greenwashing.
8. Explain digital marketing and its channels (SEO, PPC, email, social, affiliate).
9. Define consumer behaviour. Explain the factors influencing it.
10. Explain the consumer buying decision process.
11. Explain the four types of consumer buying behaviour with examples.
12. What is a Marketing Information System? Explain its components, importance and process.
13. Differentiate between marketing research and MIS.
14. Define marketing research and explain its scope; explain the steps of the marketing research process.
15. Explain exploratory, descriptive and causal research designs.
16. Explain primary and secondary data; probability and non-probability sampling; levels of measurement.
17. Define market segmentation. Explain its bases and benefits.
18. What is market targeting? Explain the four targeting strategies and the criteria for effective targeting.
19. What is positioning? Explain its bases; explain repositioning with Indian examples (Cadbury, Titan, Lifebuoy).
20. What is a value proposition? Explain its seven types and how to write one.
21. Assignment questions: compare segmentation of two brands; analyse a company's targeting strategy; study a brand's positioning/repositioning.
22. What is the marketing mix? Explain the 4Ps with decisions and examples.
23. Explain the levels of a product and the product mix (width, length, depth, consistency).
24. Explain the stages of new product development; why do new products fail?
25. What is the product life cycle? Explain its stages and the strategy for each stage with a diagram.
26. What is a brand? Explain brand name, mark, trademark, equity and branding strategies.
27. Explain the functions of packaging and labelling.
28. Explain the factors affecting pricing and the main pricing methods (cost-based, demand-based, competition-based).
29. Distinguish between market skimming and market penetration pricing.
30. Explain price adaptation strategies and price discrimination with examples.
31. Explain the levels of distribution channels, the functions of intermediaries and factors affecting channel choice.
32. Explain intensive, selective and exclusive distribution.
33. What is logistics? Explain its elements and importance.
34. What is the promotion mix? Explain its tools with merits and limitations.
35. Explain advertising (objectives, media, decisions) and the steps in personal selling.
36. Explain sales promotion, public relations and digital media; push vs pull strategy.

Part C - Detailed model answers (40)

Q1. [2 marks] What is the marketing mix?

Core concepts

The set of controllable tools a firm uses to meet customer needs: **Product, Price, Promotion and Place** (4Ps).

Example: Nike - athletic shoes, competitive prices, sponsorships, stores and website.

Marking scheme: Meaning 1.5 + example 0.5

Q2. [3 marks] List the six core concepts of marketing.

Core concepts

1. Customer needs and wants
2. Product or service
3. Value
4. Exchange
5. Relationships
6. Marketing mix (4Ps)

Example: Apple saw the need for a phone + music player + browser → iPhone.

Marking scheme: 6 concepts, ½ each

Q3. [6 marks] Explain the core concepts of marketing with examples.

Core concepts

Concept	Meaning	Example
Needs and wants	Foundation of marketing; found through research	Apple: phone + music + browser → iPhone
Product / service	Offer meeting those needs	McDonald's range
Value	Customers pay for perceived value	BMW - prestige
Exchange	Giving something of value for a product	Amazon
Relationships	Trust and long-term loyalty	Starbucks
Marketing mix	Product, price, promotion, place	Nike

Marking scheme: 6 × 1

Q4. [10 marks] Explain the core concepts, the marketing mix and the functions of marketing.

Core concepts & functions

Core concepts

Concept	Meaning	Example
Needs and wants	Foundation of marketing	Apple → iPhone
Product/service	Offer to meet needs	McDonald's menu
Value	Perceived benefit for the price	BMW prestige
Exchange	Giving value to get value	Amazon
Relationships	Trust and loyalty	Starbucks
Marketing mix	4Ps	Nike

Marketing mix - 4Ps

- Product - tangible/intangible offer
- Price - amount paid; cost, competition, demand
- Promotion - advertising, sales promotion, PR, personal selling
- Place - distribution channels, physical and online

Functions of marketing

- Gathering market information; marketing plan; product design and development
- Standardisation and grading; packaging and labelling; branding
- Customer support; pricing; promotion
- Physical distribution; transportation; storage

Role

In a firm: customer satisfaction is the key to survival and growth. In the economy: raises incomes, consumption, savings and living standards.

Marking scheme: Core concepts 3 + 4Ps 2 + functions 3 + role 2

Q5. [3 marks] Give any three definitions of marketing.

Definitions

Source	Definition (short)
Philip Kotler	A social process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value
Chartered Institute of Marketing	Management process responsible for identifying, anticipating and satisfying customer requirements profitably
American Marketing Association	Activity, set of institutions and processes for creating, communicating, delivering and exchanging offerings that have value for customers, clients, partners and society

Marking scheme: 3 × 1

Q6. [10 marks] Explain digital marketing: meaning, benefits, channels and measurement. Compare it with green marketing.

Digital & green marketing

Digital marketing

Promoting products through websites, search, social media, email, video and SMS.

- Benefits: cost-effective, easy to measure, drives engagement, personalised, easy to optimise.

Channel	Key idea	Example
SEO	Rank in search (local, technical, on-page, off-page)	Local restaurant
PPC	Pay per click	Nike ads
Email	High ROI direct channel	Amazon
Social	Awareness and trust	Duolingo TikTok
Affiliate	Commission per sale	Amazon Associates

KPIs

CTR, conversion rate, website and social traffic.

Challenges

Channel proliferation, data overload, attention saturation.

Green marketing

Promotes real sustainability; the risk is greenwashing.

Marking scheme: Digital 7 + KPIs/challenges 1.5 + green comparison 1.5

Q7. [2 marks] Define digital marketing.

Digital marketing

Digital marketing is the use of **websites, apps, mobile devices, social media, search engines and other digital means** to promote and sell products and services. *Online marketing* (email, SEO, social ads) is a type of digital marketing.

Marking scheme: Definition 1.5 + online vs digital 0.5

Q8. [3 marks] State any three benefits of digital marketing.

Digital marketing

1. **Cost-effective** - small firms can compete.
2. **Easy to measure** - real-time tracking.
3. **Drives engagement** - serve customers on one platform.
4. **Personalised** through segmentation.
5. **Easy to update and optimise.**

Marking scheme: 3 × 1

Q9. [3 marks] Write short notes on SEO and PPC.

Digital marketing

- **SEO** - optimising a website to appear in search results; types: local, technical, on-page, off-page (backlinks).
- **PPC** / **SEM** - paid ads where you pay only when a user clicks; quick to change, trackable, targeted.

Marking scheme: Each 1.5

Q10. [6 marks] Explain the channels of digital marketing with examples and how success is measured.

Digital marketing

Channel	How it works	Example
Website	Brand storefront, fast and mobile-friendly	Apple.com
SEO	Rank in search results (local, technical, on-page, off-page)	Local restaurant listing
PPC	Pay only per click	Nike on Google Ads
Content	Valuable content, product not front and centre	Red Bull media
Email	Direct, high-ROI, personalised	Amazon recommendations
Social media	Awareness and trust	Duolingo on TikTok
Affiliate	Commission per sale	Amazon Associates
Video / SMS	Tutorials; promotions by text	Sephora; Domino's

Measurement (KPIs): click-through rate, conversion rate, social and website traffic.

Marking scheme: Channels 4.5 + KPIs 1.5

Q11. [2 marks] What is standardisation and grading?

Functions

- **Standardisation** - producing goods to predetermined standards of quality, price and packaging for uniformity.
- **Grading** - classifying products into classes by quality, size, weight (e.g. agricultural products), which helps realise better prices for better quality.

Marking scheme: Each 1

Q12. [5 marks] Explain any five functions of marketing.

Functions

1. **Gathering market information** to identify needs.

2. **Marketing planning** to reach objectives (e.g. +20% market share).
3. **Product design and development** as per customer needs.
4. **Standardisation and grading** for uniform quality.
5. **Packaging and labelling** to protect and identify.
6. **Branding** to differentiate.
7. **Pricing, promotion, distribution, transport and storage**.

Marking scheme: 5 × 1

Q13. [6 marks] Explain the functions of marketing.

Functions

Group	Functions
Planning and research	Gathering market information, marketing plan, product design and development
Product-related	Standardisation and grading, packaging and labelling, branding
Exchange	Pricing, promotion (advertising, personal selling, sales promotion, publicity)
Physical distribution	Distribution, transportation, storage / warehousing
Service	Customer support - after-sales service, complaints

Marking scheme: 12 functions, ½ each

Q14. [2 marks] What is greenwashing?

Green marketing

Making environmental claims that are **false, exaggerated or unsubstantiated** to appear sustainable.

Example: Kohl's and Walmart paid a US$5.5M FTC penalty (2022) for labelling rayon textiles as eco-friendly bamboo.

Marking scheme: Meaning 1.5 + example 0.5

Q15. [3 marks] State any three benefits of green marketing.

Green marketing

1. **Appeals to a new market** of eco-conscious consumers.
2. **Increases brand loyalty and profitability** for first movers.
3. **Lowers overhead costs** through energy, water and waste savings.
4. **Helps the environment** and slows climate change.

Marking scheme: 3 benefits × 1

Q16. [6 marks] What is green marketing? Explain its strategies and the risk of greenwashing.

Green marketing

Green (eco) marketing promotes products as sustainable alternatives; part of ESG practice.

Strategies

- Sustainable products and materials
- Responsible waste disposal
- Electronic marketing (less print)
- Renewable energy practices
- Emission-minded shipping
- Green alliances and community investment

Greenwashing

False or unproven claims → fines and lost trust (Kohl's and Walmart US$5.5M).

Best practice

Substantiate every claim; make impact checkable (QR codes, carbon labels).

Example: Tata Nexon EV, SBI paperless banking, Patagonia.

Marking scheme: Meaning 1 + strategies 2.5 + greenwashing 1.5 + practice 1

Q17. [5 marks] Explain the importance of marketing management.

Importance

1. Identifies customer needs and guides product development.
2. Builds brand image, reputation and loyalty.
3. Increases sales and revenue.
4. Helps select target markets and understand competitors.
5. Determines pricing, promotion and distribution strategies.
6. Provides competitive advantage and helps adapt to change.
7. Measures effectiveness of marketing efforts and manages risk.
8. Creates long-term value for the business.

Marking scheme: 5 points × 1

Q18. [2 marks] Define marketing.

Introduction

Marketing is the process of **identifying, anticipating and satisfying customer needs and wants profitably** through the creation, promotion and distribution of products and services.

Kotler: "a social process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value with others."

Marking scheme: Definition 1.5 + author 0.5

Q19. [2 marks] What is marketing management?

Introduction

Marketing management is the functional area of management concerned with **planning, organising, directing and controlling** the activities related to marketing of goods and services to satisfy customers' wants.

- Process: choose a target market → create demand → create superior value.

Marking scheme: Definition 1.5 + process 0.5

Q20. [10 marks] Define marketing. Explain the nature, scope and importance of marketing management.

Introduction

Introduction

Marketing is identifying, anticipating and satisfying customer needs profitably (Kotler: social process of exchange of value).

Nature

- Key business function creating and capturing value
- Both art and science; proactive and reactive
- Customer-focused, data-driven and dynamic
- Applies to profit and non-profit organisations

Scope

- Market understanding, product development, branding
- Pricing, promotion, distribution, sales
- CRM, research, segmentation, positioning
- International marketing, innovation, social responsibility

Importance

- Identifies needs; builds brand and loyalty

- Raises sales; supports pricing and promotion decisions
- Gives competitive advantage; creates long-term value

Marketing vs selling

Marketing starts before production, is customer-oriented and long-term; selling starts after production and is sales-volume oriented.

Example: Amazon uses customer data to personalise recommendations.

Marking scheme: Intro 1 + nature 2.5 + scope 2.5 + importance 2 + example/conclusion 2

Q21. [3 marks] What are the steps in the process of marketing management?

Management process

1. **Choosing a target market.**
2. **Creating demand** for the product.
3. **Creating superior value** for customers.

Marketing management plans, organises, directs and controls these activities to satisfy customers' wants.

Marking scheme: 3 steps × 1

Q22. [3 marks] State the advantages and disadvantages of the marketing (modern) concept.

Marketing concept

Advantages	Disadvantages
Higher customer satisfaction	Costly market research
Improved brand image	Risk of over-emphasising customer needs at the expense of profit
Increased sales and long-term profitability	Difficult to implement - needs a change of mindset

Marking scheme: 3 + 3 points (½ each)

Q23. [2 marks] State any two differences between marketing and selling.

Marketing vs selling

Marketing	Selling
Starts before production	Starts after production
Profit through customer satisfaction	Profit through sales volume

Marking scheme: 2 × 1

Q24. [3 marks] Distinguish between marketing and selling (any three points).

Marketing vs selling

Basis	Marketing	Selling
Focus	Customer needs	Seller's needs
Starts	Before production	After production
Orientation	Customer oriented	Product oriented
Profit through	Customer satisfaction	Sales volume
Perspective	Long-term, macro	Short-term, micro

Marking scheme: 3 points × 1

Q25. [5 marks] Distinguish between marketing and selling with examples.

Marketing vs selling

Basis	Marketing	Selling
Focus	Customers' needs	Sellers' needs

Begins	Before production (planning and development)	After production (sale of goods)
Orientation	Customer oriented	Product oriented
Profit	Through consumer satisfaction	Through sales volume
Attitude	Seller beware	Buyer beware
Approach	Macro (whole system)	Micro
Time	Long-term perspective	Short-term perspective

Example: A skincare start-up redesigning products from monthly feedback (marketing) vs a door-to-door vacuum seller using pressure (selling).

Marking scheme: 5 points × 1

Q26. [10 marks] Distinguish between marketing and selling. Explain how the two are related and which philosophies treat selling as the main task.

Marketing vs selling

Introduction

Selling and sales promotion are integral parts of marketing but they are not everything; marketing is the broader term.

Differences

Basis	Marketing	Selling
Focus	Customers' needs	Sellers' needs
Starts	Before production	After production
Activities	Product planning and development	Sale of goods
Orientation	Customer oriented	Product oriented
Profit through	Consumer satisfaction	Sales volume
Attitude	Seller beware	Buyer beware
Approach	Macro	Micro
Perspective	Long-term	Short-term

Relationship

- Selling is one function within the marketing mix (promotion).
- Marketing starts with research and ends with after-sales service and relationships.

Philosophies

The **selling concept** assumes consumers will not buy enough unless pushed; the marketing and societal concepts start from customer needs.

Example: Insurance sales (selling) vs Amazon's customer-data approach (marketing).

Marking scheme: Intro 1 + table 5 + relationship 2 + philosophies 1 + example 1

Q27. [2 marks] Why is marketing called both an art and a science?

Nature of marketing

- **Art** - needs creativity, communication and judgement to understand and influence people.
- **Science** - uses research, data, analysis and tested strategies.

Marking scheme: Each 1

Q28. [3 marks] Explain any three features of marketing.

Nature of marketing

1. **Needs and wants** - the focus is satisfaction of consumers' needs and wants.
2. **Market offering** - a complete offer (size, quality, price, availability).
3. **Customer value** - customers buy on the value they perceive.
4. **Exchange** - parties give something of value to obtain a product.

Marking scheme: 3 features × 1

Q29. [6 marks] Explain the nature of marketing.

Nature of marketing

1. **Key business function** that creates and captures value.
2. **Customer-focused** - identifies needs and wants and builds long-term relationships.
3. **Not just selling** - includes research, product development, pricing, promotion and distribution.
4. **Both an art and a science** - creativity plus analysis.
5. **Proactive and reactive** - creates demand and responds to it.
6. **Dynamic** - evolves with technology and consumer behaviour.
7. **Universal** - applies to goods, services, ideas, persons; profit and non-profit bodies.
8. **Data-driven** and continuously evaluated.
9. **Linked with other functions** - finance, sales, operations.

Example: Netflix personalises artwork and recommendations from viewing data.

Marking scheme: 6 features × 1

Q30. [2 marks] What is the production concept? Give an example.

Orientations

The production concept assumes consumers prefer products that are **widely available and inexpensive**; management focuses on production and distribution efficiency and economies of scale.

Example: Henry Ford's Model T; McDonald's standardised production.

Marking scheme: Meaning 1 + example 1

Q31. [2 marks] What is the societal marketing concept?

Orientations

Marketing strategy should deliver value to customers while preserving or enhancing the **long-term well-being of consumers and society**, balancing **profit, consumer wants and public interest** (People, Planet, Profit).

Example: Patagonia, The Body Shop, TOMS Shoes "One for One".

Marking scheme: Meaning 1.5 + example 0.5

Q32. [3 marks] Compare the production, product and selling concepts.

Orientations

Basis	Production	Product	Selling
Assumption	Consumers want available, cheap goods	Consumers want quality and innovation	Consumers must be persuaded
Focus	Volume and cost	Quality	Promotion and push
Example	Ford, McDonald's	Apple	Insurance, Amway

Marking scheme: 3 rows × 1

Q33. [3 marks] State the advantages and disadvantages of the production concept.

Orientations

Advantages	Disadvantages
Lower costs through economies of scale	Lack of innovation
Consistent products	Poor customer service
High volume and market share	Ignores changing customer needs

Marking scheme: 3 + 3 points (½ each)

Q34. [5 marks] Explain the production, product and selling concepts with advantages and disadvantages.

Orientations

Concept	Idea	Advantages	Disadvantages
Production	Consumers prefer cheap, available goods; economies of scale	Low cost, consistency, high volume	No innovation, poor service
Product	Consumers prefer highest quality and innovation	Satisfaction, innovation, loyalty	High R&D cost, ignores price/ service, risk of failure
Selling	Consumers will not buy enough unless pushed	Maximises sales, action-focused	Short-term, no customer focus, pressure

Example: Ford (production), Apple (product), insurance and Amway (selling).

Marking scheme: 3 concepts × 1.5 + example 0.5

Q35. [6 marks] Explain the five orientations of marketers towards the marketplace.

Orientations

Concept	Focus	Means	Ends	Example
Production	Quantity	Availability and affordable prices	Profit via volume	Ford, McDonald's
Product	Quality	Product improvement	Profit via quality	Apple
Selling	Existing product	Selling and promotion	Profit via sales volume	Insurance
Marketing	Customer needs	Integrated marketing	Profit via satisfaction	Amazon
Societal	Customer + society	Integrated marketing	Profit via satisfaction and welfare	Patagonia

Most successful modern firms blend the marketing concept with societal responsibility.

Marking scheme: 5 concepts × 1 + conclusion 1

Q36. [6 marks] Explain the societal marketing concept. State its advantages and disadvantages.

Orientations

Strategy should create value for customers while enhancing long-term well-being of consumers and society - **People, Planet, Profit**.

Advantages

- Builds brand reputation and loyalty.
- Competitive differentiation and long-term profitability.
- Attracts socially conscious customers; better employee morale.
- Lower reputational and regulatory risk.

Disadvantages

- Costly and time-consuming.
- Impact is complex and hard to measure.
- Company and society goals may conflict.
- Risk of being seen as inauthentic.

Example: Patagonia, TOMS Shoes, Unilever, The Body Shop.

Marking scheme: Meaning 1.5 + advantages 2 + disadvantages 1.5 + example 1

Q37. [10 marks] Explain the orientations of marketers towards the market place in detail with advantages, disadvantages and examples.

Orientations

Five philosophies shape how an organisation thinks, sells and creates value.

Concept	Core belief	Advantages	Disadvantages	Example
Production	Cheap and available	Low cost, volume	No innovation, poor service	Ford, McDonald's
Product	Best quality	Innovation, loyalty	High cost, ignores needs	Apple, Tesla
Selling	Must be pushed	Higher sales	Short-term, pressure	Insurance, Amway
Marketing	Customer needs first	Satisfaction, loyalty	Costly research	Amazon, Zappos
Societal	Customer + society	Reputation, trust	Cost, complexity	Patagonia, TOMS

Comparison basis

	Production	Product	Selling	Marketing	Societal
Starting point	Factory	Factory	Factory	Market	Market & society
Focus	Quantity	Quality	Existing product	Customer needs	Needs + welfare

Conclusion: modern firms blend marketing with societal concern.

> **Marking scheme:** Table 5 + comparison 2 + intro/conclusion 3

Q38. [3 marks] Explain the role of marketing in a firm and in the economy.

Role

1. **In a firm** - helps achieve objectives; customer satisfaction is the key to survival and growth; decides what products to offer.
2. **In the economy** - aids development, raises standard of living, increases incomes, consumption, savings and investment.

> **Marking scheme:** Firm 1.5 + economy 1.5

Q39. [5 marks] Explain the scope of marketing management.

Scope

1. Understanding the market, customers and competition.
2. Product development and branding.
3. Pricing, promotion and distribution decisions.
4. Sales management, forecasting and CRM.
5. Marketing research and segmentation / positioning.
6. International marketing and innovation.
7. Reputation, public relations and social responsibility.
8. Strategic planning aligned with organisational goals.

> **Marking scheme:** 5 points × 1

Q40. [10 marks] Explain the modern marketing concept and the societal marketing concept. How do they differ from the selling concept?

Societal & modern marketing

Basis	Selling concept	Modern marketing concept	Societal concept
Starting point	Factory	Market	Market and society
Focus	Existing product, push	Customer needs	Needs + welfare of society
Means	Aggressive promotion	Integrated marketing	Integrated, ethical marketing
Ends	Profit via sales volume	Profit via satisfaction	Profit via satisfaction and welfare
Time view	Short-term	Long-term relationships	Long-term, sustainable

Modern marketing - key elements

- Customer orientation, integrated communications, personalisation, relationship building, continuous improvement, data-driven.

Societal marketing

People, planet, profit; merits: reputation, loyalty, risk reduction; demerits: cost, complexity, risk of inauthenticity.

Example: Amazon (marketing), Patagonia and TOMS (societal), insurance push-sales (selling).

Marking scheme: Table 4 + modern 2 + societal 2.5 + examples 1.5

UNIT II

Consumer Behaviour, Marketing Information System and Marketing Research

Part A - Notes

Unit II-A · Consumer Behaviour

> **Quick revision:** Consumer behaviour = how individuals/households choose, buy, use and dispose of products. 4 types: Complex, Dissonance-reducing, Habitual, Variety-seeking. 6 stages: Problem recognition → Info search → Evaluation → Purchase decision → Purchase → Post-purchase evaluation. 5 factor groups: Social, Cultural, Economic, Personal, Psychological.

1. Meaning

Consumer behaviour is the actions and decisions people or households make when they **choose, buy, use and dispose** of a product or service. It is also the study of how individuals or groups select, purchase, use and judge products and services – the psychological, social and economic drivers behind every purchase. It covers: what people buy, why they prefer one brand, how often they purchase, where they shop.

It is a multi-stage process: identify problem → collect data → explore options → decide → evaluate afterwards. Influenced by personal views and values, social conventions, marketing campaigns, product features and environment.

Real-time example: scrolling Instagram, seeing a shoe ad, reading reviews, abandoning the cart at checkout.

2. Importance of consumer behaviour

How it affects marketing

- **Segmentation** – behavioural segments; tailor messages
- **Product design** – needs and tastes → more sales and satisfaction
- **Pricing** – price points customers will pay; strategies per segment
- **Branding** – attitudes and perceptions → brand loyalty

Why it is so important

- Better marketing and communication (consumers' choices keep changing)
- Improves customer retention (cheaper to keep than win new customers; word of mouth)
- Increases customer loyalty
- Better inventory planning (balance demand and supply)
- Increases sales (know customers' likes and dislikes)
- Competition research (Is the customer using a rival? what drives them? gaps?)

Why it matters today: consumers compare prices instantly and read reviews (93% say reviews influence decisions). Key drivers: **motivation, perception, experience, trust**.

3. Four types of consumer buying behaviour

Type	Involvement / brand difference	Description	Example
Complex buying	High involvement; significant brand differences	Extensive research, information gathering, evaluating alternatives	Cars, homes, laptops

Dissonance-reducing	High involvement; few brand differences	Expensive/risky purchase, then discomfort; seeks reassurance	Second-guessing an expensive mattress
Habitual	Low involvement	Minimal decision-making, based on habit, convenience, familiarity	Same toothpaste
Variety-seeking	Low involvement; significant brand differences	Switches brands for novelty or curiosity	Trying a new soft-drink flavour

4. Factors influencing consumer behaviour

> Five groups (slide deck “Strategies Affecting Consumer Behaviour”): **A Social, B Cultural, C Economic, D Personal, E Psychological.**

Factor	Elements
A. Social	Reference groups, family, role & status. (Family is one of the biggest determinants of buying behaviour; people in the same social class show similar buying behaviour.)
B. Cultural	Culture, sub-culture (religion, nationality, region), social class; customs and rituals
C. Economic	Personal income, family income, savings, consumer credit, other economic factors
D. Personal	Age, occupation, income, lifestyle (also gender, interests, opinions)
E. Psychological	Motivation, perception, learning, beliefs & attitude

Other classification in the notes: **Situational** (temporary – store location, layout, colours, music, lighting, scent, holidays, time, mood), **Personal**, **Social**, **Psychological**. Also: **Digital & media** (reviews, algorithms, influencers).

5. Consumer buying decision process (6 stages)

1. **Problem recognition** (need awareness) – gap between desired state and actual condition; can be triggered by the marketer (a shoe commercial).
2. **Information search** – internal (memory) and external (friends, word of mouth, marketer sources, comparison shopping, public sources). Result: the **evoked set** of alternatives.
3. **Evaluation of alternatives** – set criteria, rank/weight; marketers influence by "framing". If not satisfied, return to search.
4. **Purchase decision** – choose product, package, store, method of purchase.
5. **Purchase** – may differ from decision (time lapse, availability).
6. **Post-purchase evaluation** – satisfaction or dissatisfaction; **cognitive dissonance** (doubt whether decision was right) reduced by warranties and after-sales communication.

Not all decisions include all six stages; it depends on complexity. Actual purchase is only one stage, and not all processes end in a purchase.

Simple 5-step journey (slides): problem recognition (phone screen cracks) → information search → compare alternatives → purchase decision → post-purchase behaviour.

6. Examples in action

- Price sensitivity – switching supermarkets after grocery bills rise
- Brand loyalty – rebuying the same sneakers after good experience
- Online comparison – checks three brands, waits for sale notification
- Sustainable choice – eco-friendly packaging despite higher cost

Classroom activity – Blind taste & brand test

Demonstrates **perceived vs actual value**, **brand equity**, **price sensitivity** and **cognitive dissonance**: blind taste vote (~50/50) → brand reveal favours the name brand → price reveal shifts votes toward generic.

Important exam questions

- Define consumer behaviour. Explain the factors influencing it.
- Explain the consumer buying decision process.
- Explain the four types of consumer buying behaviour with examples.

Unit II-B · Marketing Information System (MIS)

> **Quick revision:** MIS = system that collects, organises and uses marketing information. Components (class deck): Internal records, Marketing intelligence, Marketing research, Data warehousing, Information output. Process: Collect → Process → Store → Retrieve → Disseminate (cyclical). Kotler's 4 sub-systems: Internal accounting, Market intelligence, Marketing research, Marketing management science.

1. Meaning & definitions

A Marketing Information System is a way to **collect, organise and use** marketing information about sales, customers and the market, so a business can make smart decisions, plan better, use resources wisely and stay ahead of competition.

Kotler: "A continuing and interacting structure of people, equipment and procedures to gather, sort, analyse, evaluate and distribute pertinent, timely and accurate information for use by marketing decision makers to improve their marketing planning, implementation and control."

Smith, Brien & Stafford: a structured, interacting complex of persons, machines and procedures designed to generate an orderly flow of pertinent information, from both intra- and extra-firm sources, as the basis for decision-making in specified areas of marketing management.

An MIS provides **processed data** suitable for decision making. (Five managerial functions: planning, organising, coordinating, deciding, controlling.)

2. Importance

1. **Decision making** – comprehensive data and analysis
2. **Market understanding** – market dynamics, customer behaviour, competitor actions
3. **Competitive edge** – timely, accurate information; quick response
4. **Resource optimisation** – insights on channel performance; effective budgets
5. **Performance measurement** – assess campaign effectiveness; feedback loop

3. Components (5)

#	Component	What it is	Example (coffee chain)
1	**Internal records**	Data generated inside the organisation – sales, customer databases, inventory, finances	Loyalty app tracks purchases
2	**Marketing intelligence**	External information on competitors, industry trends, economic and regulatory changes	Watches rivals' new launches
3	**Marketing research**	Systematic collection, analysis and interpretation of data (primary + secondary)	Surveys customers on new flavours
4	**Data warehousing**	Central storage of large data volumes from many sources	Sales data in the cloud
5	**Information output**	Reports, dashboards, visualisations, presentations	Dashboard guides store managers

Kotler's four sub-systems

1. **Internal accounting system** – sales, receivables, costs
2. **Market intelligence system** – macro-environment changes
3. **Marketing research system** – studies on specific marketing problems

4. **Marketing management science system** – models to understand marketing process

MIS supports three levels of decisions: **strategic** (precise and accurate information; affects organisation structure), **control** / **tactical** (broad policy issues), **operational** (marketing mix management).

4. Types of data

Type	Meaning	Example
Primary	Collected first-hand for the purpose at hand	Surveys, interviews, focus groups
Secondary	Already collected by someone else for another purpose	Published reports, articles
Quantitative	Numbers and measurements	Sales figures, website traffic
Qualitative	Non-numeric; reasons, motivations, attitudes	Customer feedback, reviews, open-ended answers

5. MIS process (5 steps, cyclical)

1. **Data collection** – internal (sales, customer DB, inventory) and external (research, competitor analysis, industry reports)
2. **Data processing** – clean, structure, analyse, statistical methods
3. **Information storage** – secure repository / data warehouse
4. **Information retrieval** – access when needed
5. **Information dissemination** – reports, dashboards, presentations

6. Benefits

- Informed decision making; competitive advantage; resource optimisation
- Improved customer satisfaction; strategic planning; risk management
- Cost efficiency (no trial-and-error); research efficiency (no duplicated effort)

7. Tips for using an MIS

Define objectives; update data regularly; train users; ensure data security (access control, encryption, audits); integrate with CRM / finance systems.

8. Examples

Google Analytics; CRM software (Salesforce, HubSpot, Zoho); social media analytics (Hootsuite, Buffer, Sprout Social); email marketing software (Mailchimp, Constant Contact); e-commerce platforms (Shopify, WooCommerce, Magento); web analytics (Adobe Analytics, Webtrends); competitor monitoring (SEMrush, Ahrefs, SimilarWeb).

9. MIS vs Marketing Research

Marketing Research	MIS
Seeks information from external sources	Handles internal data (orders, sales, inventory, payables) and external data (macro environment)
Purpose: solve a specific research problem	Continuous system supporting decisions
Focuses on past information; not computer based	Computer based, ongoing
One source of information for the MIS	Broader system that includes marketing research

Important exam questions

- What is MIS? Explain its components and importance.
- Explain the steps of the MIS process.
- Differentiate between marketing research and MIS.
- What types of decisions does an MIS support?

Unit II-C · Marketing Research: Meaning, Process & Design

> **Quick revision:** Marketing research = systematic and objective study of marketing problems. 8-step process: Define problem → Research design → Data types & sources → Data collection forms → Sampling → Collect → Analyse → Report. Designs: Exploratory, Descriptive, Causal.

1. Research & marketing research

Research is an active, diligent, systematic process of inquiry aimed at discovering, interpreting and revising facts (French: "to investigate thoroughly"). It starts with a question (the **problem**).

Basic (pure) research	Applied research
Not in response to a problem; educative, expands knowledge; no commercial potential	Seeks alternate solutions to a problem at hand; specific practical questions; commercial implications

Applied research: **problem-solving** (issue specific, e.g. improve employees' communication) and **problem-oriented** (conceptual, innovative techniques, e.g. improve production yield of machine X).

Definitions of marketing research

- **Kotler (1999):** systematic problem analysis, model-building and fact-finding for improved decision-making and control in the marketing of goods and services.
- **AMA (1961):** systematic gathering, recording and analysing of data relating to the marketing of goods and services.
- **Green & Tull:** systematic and objective search for and analysis of information relevant to identification and solution of any problem in the field of marketing.

Pioneer: Arthur Nielsen, ACNielsen (1923). Research is the only tool to keep in contact with the external environment. It reduces uncertainty and raises the probability and magnitude of success – but is only a **tool**; it does not guarantee success.

2. Scope of marketing research

- **Product management** – competitive intelligence, pre-launch strategy, **test marketing** (small-scale launch in a select area), **concept testing**
- **Sales analysis** – market potential, demand estimation, market share, seasonal variation, segmentation studies, market size, need analysis
- **Corporate research** – company image, knowledge of company activities
- **Advertising research** – readership feedback, advertising recall
- **Syndicated research** – compiled by agencies regularly and sold on subscription

3. Classifications

Basis	Types
Purpose	Problem-identification vs problem-solving; **Exploratory** (insight; flexible; cautious conclusions) vs **Conclusive** (generalisable)
Data source	**Primary** (own purpose, specific, expensive) vs **Secondary** (published earlier, cheaper, may not fit exactly). Ideal: secondary first, then primary to fill gaps

Method	**Qualitative** (exploratory; few respondents; focus groups, in-depth interviews, projective techniques); **Quantitative** (tests hypothesis; random sampling; surveys, questionnaires; statistical analysis); **Observational** (product-use analysis, cookie tracing); **Experimental** (test marketing, purchase laboratories)

Market research vs marketing research

Market Research	Marketing Research
Researches a specific industry or market (e.g. number of competitors and share in the car industry)	Analyses a marketing opportunity/problem, defines research and data methods through to implementation; finds root cause (e.g. solving rising turnover)

Tools of marketing research

- **Primary:** interviews, surveys, focus groups, observations, experiments
- **Secondary:** literature reviews, statistical analysis, meta-analysis
- **Qualitative:** interviews, focus groups, ethnographic studies
- **Quantitative:** surveys, experiments, observational studies

Importance & objectives (Unit 2 notes)

Understand customer needs; identify market trends; assess competitive landscape; mitigate risks; optimise marketing strategies. Objectives: understand consumer behaviour; identify market opportunities; assess market potential; evaluate competitor strategies; inform decision-making. Scope: consumer behaviour, market trends, competitive analysis, industry insights, segmentation.

4. The 8-step marketing research process

Running example in the deck: should a smartphone brand launch a foldable phone?

1. **Define the research problem** – "a problem well defined is half-solved". Translate the *decision problem* (launch or not?) into a *research problem* (will target buyers accept a foldable phone at this price?). Exploratory work (secondary data survey, pilot studies, experience surveys) helps define it.
2. **Determine research design** – exploratory, descriptive or causal.
3. **Identify data types & sources** – secondary (internal: sales invoices, warranty cards; external: published, commercial, census) vs primary (demographics, psychographics/lifestyle, attitudes & opinions, awareness, intentions, motivation, behaviour). Primary by *communication* (asking: versatile, quicker/cheaper, may be inaccurate) or *observation* (watching: more accurate, slower, can't capture attitudes).
4. **Design data collection forms** – observational methods or surveys (personal, telephonic, mail) with a structured, pre-tested questionnaire.
5. **Determine sampling design & size** – sample survey vs census; probability vs non-probability; example: 1,200 smartphone owners via stratified random sampling.
6. **Collect the data** – field work, interviewing and supervision to avoid interview error.
7. **Analyse & interpret** – **edit** (correct errors) → **code** (numbers/symbols; codebook) → **tabulate** (simple and cross-tabulation). Then conjoint analysis, hypothesis testing (H_0 vs H_1).
8. **Prepare the research report** – authorisation letter, table of contents, list of illustrations, executive summary, objectives, methodology, results, limitations, conclusions & recommendations, appendices.

> Steps are inter-related; each leans on the one before. Skipping ahead rarely pays off.

Simple 6-step version (Unit 2 notes): define objectives → design research plan → data collection → analysis → final insights → reporting.

5. Research design

Research design = blueprint for research; "specification of methods and procedures for acquiring the information needed" (Green & Tull). It is the overall operational pattern: what information, from which sources, by what procedures.

Design	Purpose	Features / methods
Exploratory	Problem not clearly defined; discover ideas; form hypotheses; concept testing	Flexible, informal; relies on secondary data, literature search, informal discussions, in-depth interviews, focus groups, projective methods, case studies, pilot studies. Not enough alone for decisions
Descriptive	Describe who, what, when, where, how (not cause)	Rigid; observation and surveys; cannot establish causality. Types: **cross-sectional** (one point in time; field studies and surveys; cohort analysis) and **longitudinal** (panel; same respondents repeatedly; tracks brand-switching)
Causal	Cause-and-effect between variables	Experimentation (control + experimental group, lab or field) and simulation. Designs: time-series & trend, cross-sectional, combined

Conclusive research = descriptive + causal (mostly quantitative, reliable and representative).

Types of observation

Participant / non-participant; obtrusive / unobtrusive; natural / contrived setting; disguised / non-disguised; structured / unstructured; direct / indirect; human / mechanical.

Survey problems

Response error/bias (respondent wants to impress or please), refusal on sensitive questions, interviewer bias, low response rate.

Experimental design notation

X = exposure to treatment, O = observation. Simple: X O. Multiple time-series with control group: O_1 O_2 O_3 X O_4 O_5 O_6 / O'_1 … O'_6. Cross-sectional: X_1O_1, X_2O_2, X_3O_3… (e.g. different incentives across territories).

Important exam questions

- What is marketing research? Explain its scope.
- Explain the steps in the marketing research process.
- Classify research designs; explain exploratory, descriptive and causal research.
- Differentiate: basic vs applied; primary vs secondary; market research vs marketing research.
- Cross-sectional vs longitudinal studies.

Unit II-D · Data Sources, Sampling, Measurement & Analysis

> **Quick revision:** Secondary data first (desk research), then primary (observation, questionnaire). Sampling: probability (SRS, systematic, stratified, cluster/area) vs non-probability (convenience, judgment, quota, snowball). Scales: Nominal < Ordinal < Interval < Ratio. Analysis: univariate → bivariate → multivariate.

1. Data sources

Secondary data (desk research)

Collected by others for other purposes. Check it before any primary collection.

Advantages: may answer the problem without primary data; economical; less time; large samples (census, government reports) can be more accurate; useful in exploratory phase; helps structure sample and define population.

Disadvantages: units/definitions may differ (e.g. "family" in urban vs rural); definitions change with time; errors of measurement usually not published; source bias; reliability changes over time; may be outdated. Use multiple sources and cross-check.

Evaluation checklist: Does it help answer the question? Applies to your population? Units usable? Cost worth

it? Accurate and unbiased? → then use.

Internal sources: sales data (most profitable product), financial data (costs), marketing data, human resource data, storage data. **External sources:** government bodies (Ministry of Statistics & Programme Implementation, IBEF, IRDA, etc.), published sources, commercial/syndicated data, international agencies (UN etc.).

Primary data

Collected when secondary data does not give what is needed.

1. Observation – accurate on *what* consumers do, not *why*. Methods: structured/unstructured; disguised/ undisguised; normal/laboratory setting; direct/indirect; human/mechanical (hidden cameras, audiometers).

2. Questionnaire – instrument to ask respondents questions (by mail, phone, computer or in person). Four types: structured non-disguised, structured disguised, non-structured non-disguised, non-structured disguised. (Disguised = purpose not revealed.)

Steps in developing a questionnaire:

1. Decide information required
2. Define target respondents
3. Select methodology (personal interviews, focus interviews, mail, telephone) – the more sensitive the information, the more personal the method
4. Decide question content
5. Decide type of questions – **closed** (fixed alternatives; easy analysis; no freedom) vs **open-ended** (descriptive; richer but harder to analyse)
6. Put questions in meaningful order and format
7. Closing questions
8. Physical appearance
9. **Pilot test** (wording, order, ease of understanding, interviewer instructions)

Qualities of a good instrument: relevancy, brevity, non-ambiguity, specificity. **Data collection forms:** questionnaires, schedules (filled by enumerators), observation devices (tape recorder, camera). **Surveys:** personal (detailed, interviewer bias), telephonic (fast, limited information), mail (low cost, slow, low response).

Data processing

Editing (check completeness, consistency, legibility) → **coding** (assign scores/symbols; codebook) → **tabulation**.

2. Sampling

Term	Meaning
Population	Total group of elements of interest
Element	Person/object from which data are sought
Sampling unit	Elements available for selection
Sampling frame	List of all eligible sampling units (voter lists, customer lists). Over-registration = extra units; under-registration = eligible units left out
Sampling gap	Difference between population elements and units in the frame (frame error)
Sampling distribution	Frequency distribution of a sample statistic from repeated random samples of the same size
Central Limit Theorem	Backbone of survey research; because of it, sampling error shrinks as sample size increases

Census vs sample: a sample survey has distinct merits (cost, time). **Steps in a sampling plan:** (1) define target

population (2) select data collection method (3) identify sampling frame (4) select sampling method (5) determine sample size and contact rates (6) create operating plan (7) execute.

Probability vs non-probability

Probability	Non-probability
Known, equal chance; representative; sampling error measurable; unbiased estimates; more time and cost	Used in exploratory research, pre-testing a questionnaire, homogeneous population; biased; representativeness undeterminable; cheap and quick

Probability designs

- **Simple random** – every unit has known, equal, non-zero chance (lottery / random number table). Probability = sample size / population size.
- **Systematic random** – ordered list; skip interval = list size / sample size; random start.
- **Stratified random** – divide into homogeneous strata, sample each, combine. *Proportionate* (by stratum size) vs *disproportionate*.
- **Cluster** – mutually exclusive, collectively exhaustive clusters, each representative of the whole. **Area sampling** = geographic clusters; one-step vs two-step (two-step preferred).

Stratified	Cluster
Homogeneity within group	Homogeneity between groups
All groups included	Random selection of groups

Non-probability designs

- **Convenience** (accidental) – at researcher's convenience; early stages
- **Judgment** (purposive) – expert selects participants believed to fit
- **Quota** – pre-specified quotas of demographic/attitude/behaviour groups
- **Snowball** (referral) – respondents refer others; for rare/small populations

Random-digit dialing (RDD) generates telephone samples when a frame is unavailable.

Sample size & errors

Determined by variability of the population characteristic, desired confidence level and desired precision. **Total error = sampling error + non-sampling error** (design, administering, response and non-response errors). Reduce sampling error by increasing sample size and using an efficient plan. Non-response handled by improving design, call-backs, estimating its effect.

3. Measurement & scales

Measurement = assignment of numerals to characteristics of objects, persons, states or events according to rules (we measure characteristics, not the objects).

Level	What it does	Example	Statistics
Nominal	Mutually exclusive categories / labels; "haves and have-nots"	Gender, religion	Count, mode, percentages
Ordinal	Rank order; not how much more	Brand preference ranking, attitudes	Mode, median, percentages
Interval	Equal intervals; arbitrary zero; no ratios	Celsius / Fahrenheit	[extra] Mean, SD
Ratio	Equal intervals and true zero; ratios meaningful	Weight, sales, income	[extra] All statistics

Each higher level has the properties of those below it. Concepts of **reliability** and **validity** apply to measurement.

4. Data analysis

Univariate

Assess distribution of a single variable – **central tendency** (mean, median, mode; also geometric mean) and **dispersion**. E.g. mean of 5, 10, 22, 25, 17 = 15.8. Mean can mislead in skewed data (use median).

Hypothesis testing

- **Null hypothesis (H_0)** – observations are due to chance (no effect); **alternative (H_1/H_A)** – non-random cause.
- Four steps: formulate hypotheses → identify test statistic → formulate decision rule (region of acceptance) → accept/reject H_0.
- Tests: **Z** (large sample, n ≥ 30), **t** (small sample, n < 30), **F**, **χ^2**. One-tailed and two-tailed tests.

Bivariate

Association between dependent and independent variable; measures range –1 to +1. Nominal variables: **Lambda**; significance by **Chi-square**: $\chi^2 = \Sigma (O_i - E_i)^2 / E_i$. Ordinal: concordant/discordant pair measures. Also correlation analysis, cross-tabulation.

Multivariate (3+ variables simultaneously)

- **ANOVA** (F-test; compares means of 2+ groups; lowers Type-I error risk vs multiple t-tests), ANCOVA, MANOVA
- **Dependence methods:** multiple regression, discriminant analysis, conjoint analysis (preference for product attributes)
- **Interdependence methods:** factor analysis, cluster analysis, multi-dimensional scaling

Pareto analysis (80:20 rule)

A small proportion of causes produces a large proportion of results – "**vital few and trivial many**". Vilfredo Pareto (1848–1923), adapted by Juran. Bar chart with causes in descending order of frequency. Used in quality improvement and ABC inventory classification (items grouped by annual sales volume).

5. Report writing

- Types: **oral** and **written**. Report must be clear and concise; the report and presentation are often the only evidence of the study.
- **Oral vs written:** oral lacks visuals and cannot be paced by the audience; written can be re-read and is more precise.
- Oral report tips: know the audience, plan and rehearse, simple language, visual aids used sparingly.

Important exam questions

- Explain primary and secondary data; merits and limitations of secondary data.
- Explain the steps in developing a questionnaire; open vs closed questions.
- Explain probability and non-probability sampling methods.
- Explain the four levels of measurement.
- Explain hypothesis testing; null vs alternative hypothesis.
- Write a short note on Pareto analysis.

Part B - Important questions

1. Define consumer behaviour. Explain the factors influencing it.
2. Explain the consumer buying decision process.
3. Explain the four types of consumer buying behaviour with examples.
4. What is a Marketing Information System? Explain its components, importance and process.
5. Differentiate between marketing research and MIS.
6. Define marketing research and explain its scope; explain the steps of the marketing research process.
7. Explain exploratory, descriptive and causal research designs.
8. Explain primary and secondary data; probability and non-probability sampling; levels of measurement.
9. Define market segmentation. Explain its bases and benefits.
10. What is market targeting? Explain the four targeting strategies and the criteria for effective targeting.
11. What is positioning? Explain its bases; explain repositioning with Indian examples (Cadbury, Titan, Lifebuoy).
12. What is a value proposition? Explain its seven types and how to write one.
13. Assignment questions: compare segmentation of two brands; analyse a company's targeting strategy; study a brand's positioning/repositioning.

Part C - Detailed model answers (46)

Q1. [2 marks] What are the null and alternative hypotheses?

Analysis

- **Null hypothesis (H_0)** - no effect or difference; observations are due to chance.
- **Alternative hypothesis (H_1)** - there is an effect; observations have a non-random cause.

Marking scheme: Each 1

Q2. [6 marks] Explain hypothesis testing and the tests used in marketing research.

Analysis

A statistical hypothesis is an assumption about a population parameter, tested on sample data.

1. Formulate H_0 and H_1.
2. Identify the test statistic.
3. Formulate the decision rule (region of acceptance).
4. Accept or reject H_0.

Test	Use
Z-test	Large sample ($n \geq 30$)
t-test	Small sample ($n < 30$)
F-test / ANOVA	Compare means of 2+ groups
χ^2 (Chi-square)	Significance of association in cross-tabs

Marking scheme: Concept 1 + steps 2 + tests 3

Q3. [2 marks] Define consumer behaviour.

Consumer behaviour

Consumer behaviour is the study of how individuals, groups or households **select, buy, use and dispose** of products and services - the psychological, social and economic drivers behind every purchase decision.

Marking scheme: Definition 2

Q4. [2 marks] What is cognitive dissonance?

Consumer behaviour

The **doubt or discomfort a buyer feels after a purchase** about whether the right decision was made. Marketers reduce it through warranties and after-sales communication.

Example: Second-guessing an expensive mattress purchase.

Marking scheme: Meaning 1.5 + remedy 0.5

Q5. [2 marks] Name the five groups of factors influencing consumer behaviour.

Consumer behaviour

1. Social
2. Cultural
3. Economic
4. Personal
5. Psychological

Situational factors (store layout, mood, time) are temporary influences.

Marking scheme: 5 × ⅖

Q6. [3 marks] Name and explain the four types of consumer buying behaviour.

Consumer behaviour

Type	Meaning	Example
Complex	High involvement, big brand differences	Car, laptop
Dissonance-reducing	High involvement, few differences	Mattress
Habitual	Low involvement, routine	Toothpaste
Variety-seeking	Low involvement, novelty	New soft-drink flavour

Marking scheme: 4 types, ¾ each

Q7. [3 marks] Explain the factors influencing consumer behaviour (any three).

Consumer behaviour

1. **Social** - reference group, family, role and status.
2. **Cultural** - culture, sub-culture, social class.
3. **Economic** - income, savings, consumer credit.
4. **Personal** - age, occupation, lifestyle.
5. **Psychological** - motivation, perception, learning, attitude.

Marking scheme: 3 factors × 1

Q8. [3 marks] Why is the study of consumer behaviour important? (any three reasons)

Consumer behaviour

1. **Better marketing and communication** - preferences keep changing.
2. **Retention and loyalty** - keeping a customer is cheaper than winning a new one.
3. **Inventory planning** - balance demand and supply.
4. **Higher sales** - knowing likes and dislikes helps close sales.
5. **Competitor insight** - gaps between products.

Marking scheme: 3 × 1

Q9. [6 marks] Explain the consumer buying decision process.

Consumer behaviour

Problem recognition → Information search → Evaluation of alternatives → Purchase decision → Purchase → Post-purchase evaluation

1. **Problem recognition** - gap between desired and actual state (cracked phone screen).
2. **Information search** - internal (memory) and external (friends, ads, reviews) → evoked set.
3. **Evaluation** - rank alternatives by criteria.
4. **Purchase decision** - choose product, store, method.
5. **Purchase** - may differ from the decision (availability).
6. **Post-purchase evaluation** - satisfaction or cognitive dissonance.

Not every purchase includes all six stages.

Marking scheme: Diagram 1 + 6 stages × ⅝ ≈ 5

Q10. [6 marks] Define consumer behaviour and explain the factors that influence it.

Consumer behaviour

Consumer behaviour = how people select, buy, use and dispose of products.

Factor	Elements	Example
Social	Reference groups, family, role & status	Family chooses a TV
Cultural	Culture, sub-culture, social class	Festival buying
Economic	Income, savings, credit	EMI purchase
Personal	Age, occupation, lifestyle	Student buys earphones

Psychological	Motivation, perception, learning, attitude	Brand trust

Situational factors (store layout, music, mood) are temporary influences.

Marking scheme: Definition 1 + five factors × 1

Q11. [10 marks] Explain consumer behaviour: its importance, types, factors and the buying decision process.

Consumer behaviour

Meaning and importance

- How people choose, buy, use and dispose of products.
- Helps segmentation, product design, pricing, branding; improves retention and loyalty; better inventory planning; competitor study.

Four types

Type	Involvement / differences	Example
Complex	High / big	Car
Dissonance-reducing	High / few	Mattress
Habitual	Low / few	Toothpaste
Variety-seeking	Low / big	Soft drink

Factors

Social, cultural, economic, personal, psychological (plus situational and digital influences).

Decision process

Problem recognition → Search → Evaluation → Decision → Purchase → Post-purchase

Example: Scrolling Instagram, seeing a shoe ad, reading reviews, abandoning the cart at checkout.

Marking scheme: Meaning/importance 2 + types 2.5 + factors 2.5 + process 2 + example 1

Q12. [2 marks] Distinguish between primary and secondary data.

Data

Primary data	Secondary data
Collected first-hand for the problem at hand	Already collected by someone else for another purpose
Expensive, specific, time-consuming	Cheaper and faster, may not fit exactly
Surveys, interviews, observation	Published reports, census, sales invoices

Marking scheme: 2 differences × 1

Q13. [3 marks] Distinguish between univariate, bivariate and multivariate analysis.

Data analysis

Type	Focus	Examples
Univariate	One variable - central tendency and dispersion	Mean, median, mode
Bivariate	Association between two variables	Cross-tabs, Chi-square, correlation
Multivariate	Three or more variables simultaneously	ANOVA, regression, conjoint, factor, cluster

Marking scheme: 3 × 1

Q14. [10 marks] Explain the stages of data analysis in marketing research: editing and coding, tabulation, univariate, bivariate and multivariate analysis, hypothesis testing and Pareto analysis.

Data analysis

1. Data preparation

1. **Editing** - check completeness, consistency, legibility.
2. **Coding** - assign numbers/symbols; keep a codebook.
3. **Tabulation** - simple and cross-tabulation (the most common method).

2. Univariate analysis

Central tendency (mean, median, mode) and dispersion. Mean of 5, 10, 22, 25, 17 = 15.8; use the median for skewed data.

3. Hypothesis testing

- H_0 (no effect) vs H_1 (effect).
- Steps: formulate, test statistic, decision rule, accept / reject.
- Z ($n \geq 30$), t ($n < 30$), F, χ^2.

4. Bivariate analysis

Association between dependent and independent variable; Lambda and Chi-square ($\chi^2 = \Sigma(O - E)^2/E$) for nominal data; correlation for ordinal / interval.

5. Multivariate analysis

- ANOVA, ANCOVA, MANOVA
- Dependence: regression, discriminant, conjoint
- Interdependence: factor, cluster, multi-dimensional scaling

6. Pareto analysis

The 80:20 rule - the "vital few and trivial many": a small share of causes produces most results; used in quality control and ABC inventory.

> **Marking scheme:** Preparation 2 + univariate 1.5 + hypothesis 2 + bivariate 1.5 + multivariate 1.5 + Pareto 1.5

Q15. [10 marks] Explain data collection in marketing research: sources of data, observation, questionnaire design, sampling and data processing.

Data collection

Data sources

Secondary (internal/external) first; primary when needed.

Observation

Structured/unstructured, disguised/undisguised, direct/indirect, human/mechanical - accurate on what people do, not why.

Questionnaire

1. Information required
2. Target respondents
3. Method
4. Content
5. Closed / open questions
6. Order
7. Closing
8. Appearance
9. Pilot test

Sampling

Probability (SRS, systematic, stratified, cluster) vs non-probability (convenience, judgment, quota, snowball);

sample size depends on variability, confidence and precision.

Data processing

Editing → coding (codebook) → tabulation (simple and cross tabs).

> **Marking scheme:** Sources 2 + observation 1.5 + questionnaire 3 + sampling 2 + processing 1.5

Q16. [3 marks] List the stages of the consumer buying decision process and explain the "evoked set".

Decision process

Problem recognition → Information search → Evaluation of alternatives → Purchase decision → Purchase → Post-purchase evaluation

The **evoked set** is the group of alternatives a buyer is left with after a successful information search; the buyer then ranks them on chosen criteria.

> **Marking scheme:** Stages 2 + evoked set 1

Q17. [2 marks] What is a Marketing Information System (MIS)?

MIS

A Marketing Information System is a system that **collects, organises and uses marketing information** about sales, customers and competitors so managers can take sound decisions.

- Components: internal records, marketing intelligence, marketing research, data warehousing, information output.

> **Marking scheme:** Definition 1.5 + components 0.5

Q18. [3 marks] Differentiate between marketing research and MIS.

MIS

Marketing research	MIS
Seeks specific external information to solve a research problem	Handles internal data (orders, sales, inventory) and external data
Focuses on past information	Continuous, forward-looking system
One source of information for the MIS	Broader system that includes research

> **Marking scheme:** 3 differences × 1

Q19. [5 marks] Explain the components of a Marketing Information System.

MIS

Component	Meaning	Example (coffee chain)
Internal records	Data generated inside the firm	Loyalty app purchases
Marketing intelligence	External information on competitors and trends	Rivals' new launches
Marketing research	Systematic study of specific problems	Flavour survey
Data warehousing	Central storage of data	Cloud sales data
Information output	Reports and dashboards	Store-manager dashboard

> **Marking scheme:** 5 components × 1

Q20. [6 marks] What is an MIS? Explain its importance and process.

MIS

An MIS collects, organises and uses marketing information (Kotler: continuing structure of people, equipment and procedures to gather, sort, analyse, evaluate and distribute pertinent, timely, accurate information).

Importance

- Better decision making
- Market understanding
- Competitive edge
- Resource optimisation
- Performance measurement

Process (cyclical)

Collection → Processing → Storage → Retrieval → Dissemination

Benefits: lower cost, risk management, customer satisfaction, strategic planning.

> **Marking scheme:** Definition 1.5 + importance 2 + process 2 + benefits 0.5

Q21. [10 marks] Explain the Marketing Information System and marketing research. How are they related?

MIS & research

MIS

- Definition (Kotler).
- Components: internal records, marketing intelligence, marketing research, data warehousing, information output.
- Process: collect → process → store → retrieve → disseminate.

Marketing research process

1. Define the problem
2. Research design
3. Data types and sources
4. Data collection forms
5. Sampling
6. Collect data
7. Analyse and interpret
8. Report

Types of data and sampling

Primary / secondary; probability and non-probability sampling.

Relationship

Marketing research	MIS
Specific problems	Continuous system
External sources	Internal + external
One component of MIS	Includes research

> **Example:** Foldable-phone launch study.

> **Marking scheme:** MIS 3 + process 3 + data/sampling 1.5 + relationship 2.5

Q22. [2 marks] Define marketing research.

Marketing research

Marketing research is the **systematic and objective study** of problems pertaining to the marketing of goods and services.

AMA (1961): "systematic gathering, recording and analysing of data relating to the marketing of goods and services."

> **Marking scheme:** Definition 1.5 + author 0.5

Q23. [2 marks] What is test marketing?

Marketing research

A **small-scale launch of a product in a selected area** to find the likely acceptance before it is introduced in the wider market.

Marking scheme: Meaning 2

Q24. [3 marks] Distinguish between basic and applied research.

Marketing research

Basic research	Applied research
Not in response to a problem; expands knowledge	Seeks solutions to a problem at hand
No commercial potential	Has commercial implications
E.g. understanding typhoid	E.g. improving worker productivity on machine X

Marking scheme: 3 points × 1

Q25. [5 marks] Explain the steps in the marketing research process.

Marketing research

1. **Define the research problem** (decision problem → research problem).
2. **Determine research design** - exploratory, descriptive, causal.
3. **Identify data types and sources** - primary / secondary.
4. **Design data collection forms** - observation or surveys with a tested questionnaire.
5. **Determine sampling design and size.**
6. **Collect the data** with supervised fieldwork.
7. **Analyse and interpret** - edit, code, tabulate; hypothesis tests.
8. **Prepare the report** - objectives, methodology, results, recommendations.

Example: Should a smartphone brand launch a foldable phone? Research problem: will target buyers accept it at the planned price?

Marking scheme: 8 steps × ½ + example 1

Q26. [5 marks] Distinguish between exploratory, descriptive and causal research.

Marketing research

Basis	Exploratory	Descriptive	Causal
Purpose	Clarify the problem, form hypotheses	Describe who, what, when, where, how	Find cause and effect
Nature	Flexible, informal	Rigid, structured	Controlled experiments
Methods	Literature, focus groups, case studies	Surveys, observation	Lab and field experiments, simulation
Data	Mostly secondary	Primary and secondary	Primary
Example	Talk to reviewers about foldable phones	Survey 1,000 owners	A/B test of two prices

Marking scheme: 5 rows × 1

Q27. [5 marks] Explain the importance of marketing research.

Marketing research

1. **Understands customer needs** and preferences.
2. **Identifies market trends** and shifts in behaviour.
3. **Assesses the competitive landscape** - strengths and weaknesses.
4. **Mitigates risk** by testing feasibility before big decisions.
5. **Optimises marketing strategy** - right audience, message and channel.

Research reduces uncertainty and raises the probability and size of success; it is a tool, not a guarantee.

Marking scheme: 5 × 1

Q28. [6 marks] Define marketing research and explain its scope and types.

Marketing research

Systematic and objective study of marketing problems.

Scope

- Product management - test marketing, concept testing
- Sales analysis - market potential, share, demand
- Corporate research - company image
- Advertising research - recall, readership
- Syndicated research

Types

- Primary vs secondary
- Qualitative (focus groups) vs quantitative (surveys)
- Exploratory vs conclusive
- Observational and experimental

Market research studies an industry; marketing research solves a marketing problem.

Marking scheme: Definition 1 + scope 2.5 + types 2 + distinction 0.5

Q29. [6 marks] Explain the sources of data (primary and secondary) with their merits and demerits.

Marketing research

Secondary data (desk research)

- Internal: sales, finance, marketing, HR and storage data.
- External: government bodies, published and commercial sources, international agencies.
- Merits: economical, quick, sometimes more accurate (census). Demerits: may not fit, outdated, definitions differ, source bias.

Primary data

- Observation (what people do), questionnaire / survey (personal, telephonic, mail), interviews, focus groups, experiments.
- Merits: specific and current. Demerits: costly and time-consuming.

Ideal sequence: secondary first, then primary to fill the gaps.

Marking scheme: Secondary 3 + primary 2.5 + sequence 0.5

Q30. [6 marks] Explain the research report: contents and how to present it (oral vs written).

Marketing research

Contents

- Authorisation letter, table of contents, list of illustrations
- Executive summary, research objectives, methodology
- Results, limitations, conclusions and recommendations
- Appendices (questionnaires)

Oral vs written

Oral	Written
No visuals; audience cannot control pace	Can be re-read; charts and diagrams
Less precise	More precise and scrutinised

Oral tips: know the audience, rehearse, simple language, visual aids sparingly.

Marking scheme: Contents 2.5 + comparison 2 + tips 1.5

Q31. [6 marks] Distinguish between qualitative and quantitative research with examples.

Marketing research

Basis	Qualitative	Quantitative
Purpose	Explore attitudes, motives - the "why"	Measure and test hypotheses - the "how many"
Data	Non-numeric	Numeric
Sample	Few respondents	Large, random sample
Methods	Focus groups, in-depth interviews, projective techniques	Surveys, questionnaires, experiments
Analysis	Thematic / content	Statistical techniques
Generalisable?	No	Yes, to the population

Often both are used: secondary research → focus group → national survey.

Marking scheme: 6 × 1

Q32. [3 marks] Explain the four levels of measurement.

Measurement

1. **Nominal** - labels only (gender).
2. **Ordinal** - rank order (brand preference).
3. **Interval** - equal gaps, arbitrary zero (temperature).
4. **Ratio** - true zero, ratios meaningful (income).

Marking scheme: 4 × ¾

Q33. [6 marks] Explain the four levels of measurement with examples and suitable statistics.

Measurement

Level	What it does	Example	Statistics
Nominal	Labels categories (haves / have-nots)	Gender, religion	Counts, mode, %
Ordinal	Ranks objects, no size of difference	Brand preference rank	Median, mode, %
Interval	Equal intervals, arbitrary zero	Temperature in °C	Mean, SD [extra]
Ratio	Equal intervals and true zero	Sales, income, weight	All statistics [extra]

Each higher level has all the properties of the levels below; measurement assigns numerals to characteristics, not to objects themselves.

Marking scheme: 4 levels × 1.25 + remark 1

Q34. [3 marks] Name the types of observation used in marketing research.

Observation

- Structured / unstructured
- Disguised / undisguised
- Natural / laboratory (contrived) setting
- Direct / indirect
- Human / mechanical (hidden cameras, audiometers)
- Participant / non-participant

Marking scheme: 6 types, ½ each

Q35. [3 marks] Distinguish between open-ended and closed questions.

Questionnaire

Closed	Open-ended
Respondent picks from stated alternatives	Respondent answers in own words
Easy to analyse	Rich but harder to analyse
E.g. "Do you use Brand X? Yes / No"	E.g. "What do you like most about this product?"

Marking scheme: 3 points × 1

Q36. [5 marks] Explain the steps in developing a questionnaire.

Questionnaire

1. Decide the information required.
2. Define the target respondents.
3. Select the methodology to reach them (personal, group, mail, telephone).
4. Decide question content.
5. Decide type of questions - closed / open.
6. Put questions in a meaningful order and format.
7. Closing questions.
8. Physical appearance.
9. Pilot test and revise.

Marking scheme: 9 steps, ⅗ each

Q37. [2 marks] What is research design?

Research design

The **blueprint for research** - the specification of methods and procedures for acquiring the information needed (Green and Tull): what information, from which sources, by what procedures.

- Types: exploratory, descriptive, causal.

Marking scheme: Meaning 1.5 + types 0.5

Q38. [3 marks] Explain exploratory, descriptive and causal research in brief.

Research design

1. **Exploratory** - used when the problem is unclear; flexible; focus groups, case studies, secondary data.
2. **Descriptive** - describes who, what, when, where, how; surveys and observation; cannot show cause.
3. **Causal** - tests cause and effect through experiments.

Marking scheme: 3 × 1

Q39. [10 marks] Explain research designs, sampling methods and the levels of measurement used in marketing research.

Research design & sampling

Research designs

Design	Purpose	Methods
Exploratory	Clarify problem	Secondary data, focus groups, case study
Descriptive	Describe who/what/when	Surveys, observation
Causal	Cause and effect	Experiments

Sampling

- Probability: simple random, systematic, stratified, cluster/area
- Non-probability: convenience, judgment, quota, snowball

Measurement scales

- Nominal, ordinal, interval, ratio (NOIR).

Data analysis

Univariate → hypothesis testing (H_0 vs H_1; Z, t, F, χ^2) → bivariate → multivariate; Pareto 80:20.

Marking scheme: Designs 3 + sampling 3 + scales 2 + analysis 2

Q40. [2 marks] Why is defining the research problem the most important step?

Research process

"A problem well defined is half-solved." The decision problem must be turned into a research problem; a poorly defined problem cannot be fixed by a good research design.

Example: Decision: launch a foldable phone? Research problem: will target buyers accept it at the planned price?

Marking scheme: Reason 1.5 + example 0.5

Q41. [2 marks] What is a questionnaire?

Research tools

A **data-collecting instrument containing a list of questions** to secure the desired information from respondents (by mail, phone, computer or in person). It must be tested (piloted) before use.

Marking scheme: Meaning 1.5 + pilot 0.5

Q42. [2 marks] What is a sampling frame?

Sampling

The **list of all eligible sampling units** from which a sample is drawn, e.g. voters' list or customer list.

Marking scheme: Meaning 1.5 + example 0.5

Q43. [3 marks] Distinguish between probability and non-probability sampling.

Sampling

Probability	Non-probability
Known, equal chance of selection	Selection by convenience / judgment
Representative; sampling error measurable	Representativeness unknown
SRS, systematic, stratified, cluster	Convenience, judgment, quota, snowball

Marking scheme: 3 × 1

Q44. [5 marks] Explain the probability sampling methods.

Sampling

1. **Simple random** - every unit has a known, equal chance (lottery/random numbers).
2. **Systematic** - skip interval = list size ÷ sample size; random start.
3. **Stratified** - divide into homogeneous strata; sample each (proportionate / disproportionate).
4. **Cluster** - mutually exclusive clusters, each representative; **area sampling** uses geographic clusters (one-step / two-step).

Advantages: representative; sampling error can be measured.

Marking scheme: 4 methods × 1 + remark 1

Q45. [5 marks] Explain the non-probability sampling methods.

Sampling

1. **Convenience** - at the researcher's convenience; early stages.
2. **Judgment (purposive)** - expert selects likely participants.
3. **Quota** - pre-set quotas of demographic / behavioural groups.
4. **Snowball (referral)** - respondents refer others; for rare populations.

Used for exploratory work and pre-testing; representativeness cannot be measured.

Marking scheme: 4 × 1 + remark 1

Q46. [3 marks] State the advantages and disadvantages of secondary data.

Secondary data

Advantages	Disadvantages
Economical and quick	May not fit the problem exactly
Large samples (census) can be accurate	Definitions and units may differ
Useful in exploratory stage	May be outdated or biased

Use multiple sources and cross-check.

Marking scheme: 3 + 3 points (½ each)

UNIT III

Segmentation, Targeting, Positioning and Value Proposition

Part A - Notes

Unit III-A · Market Segmentation

> **Quick revision:** STP = Segmentation → Targeting → Positioning. Segmentation = sub-dividing customers into homogeneous sub-sets, each reachable with a distinct marketing mix (Kotler). Four bases: Geographic (Where?), Demographic (What?), Psychographic (Who?), Behavioural (How?).

1. STP framework

Segmentation	Targeting	Positioning
Identify meaningful groups of customers	Select which segment(s) to serve	Build and improve brand equity for the chosen target

Target marketing involves three activities: market segmentation, market targeting, market positioning – called the **S.T.P. strategy**. Segmentation takes the total heterogeneous market and divides it into homogeneous sub-markets; targeting evaluates segments and selects those to serve; positioning designs the offering and image to occupy a distinctive place in the target market's mind. The marketing mix (Product, Price, Place, Promotion) is then built for the chosen segment.

2. Meaning & definition

> **Philip Kotler:** Market segmentation is the sub-dividing of customers into homogeneous sub-sets of customers where any sub-set may conceivably be selected as a market target to be reached with a distinct marketing mix.

Aim: match groups of purchasers with the same set of needs and buyer behaviour. Such a group is a **segment**.

3. Why segment? / Benefits

- Develop marketing activities and increase marketing effectiveness
- Understand customers and generate greater satisfaction
- Design a marketing mix that precisely matches the expectations of the targeted segment
- Adjust product to market needs; overcome competition effectively; achieve company goals
- Distinguishes one customer group from another; facilitates proper choice of target market
- Effective tapping of the market; "divide the market and conquer it"; more efficient marketing effort
- Firm can create plans according to market needs; right products matching demand
- **Small firms with limited resources can compete more efficiently**
- 4Ps used rationally to achieve maximum customer satisfaction and profitable sales volume
- Better explains needs and preferences of customers

4. Bases for segmentation

Base	Question	Variables
Geographic	Where?	Climate zone (temperate, hot, humid, rainy), region (southwest, mountain states), country, nation, state, district, urban/rural (local, regional, national, international)
Demographic	What?	Religion, community, language, age, stage in family life cycle, gender, marital status, family size, occupation, income, education, social status

Psychographic	Who?	Lifestyle, social class, personality, values, self-concept, attitude, perception (low / moderate / high risk)
Behavioural	How?	Benefits sought, product usage rate, brand loyalty, readiness stage, volume purchased, purchase occasion, attitude toward product

Demographic variables – details & examples

- **Age:** babies, kids, teens, youth (29 and below), working group (30+), senior citizens. Example: a ready-made garment company segments by age group.
- **Gender:** man, woman (e.g. Hero Pleasure scooter for women).
- **Income / purchasing capacity:** buyer's preferred price range. Example: **HCL** identified the below-₹10,000 monthly income group as a distinct, strong segment for home PCs; priced at ₹12,990 → "growth segment" → 14.5% market share. Cars: Tata Nano, Suzuki SX4, Audi.
- **Region:** metro, urban, sub-urban, rural.

Psychographic examples

- **Lifestyle** – activities, interests, opinions and spending. Examples: Titan watches, Cafe Coffee Day.
- **Personality** – extrovert, novelty seeker, aggressive, innovators.

Behavioural examples

- **Benefit sought** – benefit expected by the consumer (natural beauty care product)
- **Product usage rate** – users vs non-users
- **Volume** – quantities purchased
- **Attitude** – learned tendency: enthusiastic, positive, indifferent, negative, hostile
- **Occasion** – choose Cadbury; **Brand loyalty** – Johnson's

5. Target market

A target market is a set of buyers sharing common needs and characteristics that the firm decides to serve. Not all segments need form the target market (Ramaswami & Namakumari).

Quick check (from slides)

- STP stands for → **Segmentation, Targeting, Positioning**
- Segmentation is the approach of → **Marketing Strategy**
- Process of dividing a broad target market into sub-markets → **Market Segmentation**

Important exam questions

- Define market segmentation. Explain its bases with examples.
- Explain the benefits of segmentation.
- What is STP strategy?

Unit III-B · Market Targeting

> **Quick revision:** Targeting = evaluating each segment's attractiveness and selecting one or more to enter. 4 strategies: Undifferentiated (mass), Differentiated, Concentrated (niche), Micromarketing. 5 criteria: Measurable, Accessible, Substantial, Differentiable, Actionable.

1. Meaning

Targeting is the process of **evaluating each market segment's attractiveness and selecting one or more segments** to enter with a tailored marketing offer. It is the bridge between segmentation (understanding the market) and positioning (winning a position in it).

2. Why targeting matters

- **Efficient use of resources** – budget spent on buyers most likely to respond
- **Higher ROI** – focused messaging converts better than one-size-fits-all
- **Stronger customer relationships** – offers feel personally relevant
- **Competitive advantage** – deep service of a segment is hard for generalist rivals to beat

3. Four targeting strategies

Strategy	Meaning	When to use	Example
Undifferentiated (mass)	Ignores segment differences; one offer for the entire market; focuses on what is common in buyers' needs	Near-universal need; segments hard to distinguish; cost leadership	Salt, sugar; Coca-Cola classic with global campaigns
Differentiated	Targets several segments with separate offers, messaging and sometimes pricing	Adequate resources; segments respond differently; higher sales justify higher cost	Titan (Titan, Fastrack, Sonata); Nike (runners, basketball, casual, kids)
Concentrated (niche)	Large share of one or a few small segments instead of small share of a large market	Limited resources; underserved segment; deep expertise commands premium	Rolls-Royce (ultra-luxury); Rolex
Micromarketing	Tailors programmes to local or individual level (local and individual marketing)	Rich data; local tastes vary; technology makes personalisation affordable	Netflix recommendations; Coca-Cola "Share a Coke"; Zappos

Comparison

Strategy	Market coverage	Resource need	Risk	Example
Undifferentiated	Entire market, one offer	Low	High (broad exposure)	Table salt
Differentiated	Multiple segments, tailored offers	High	Moderate (spread)	Titan / Fastrack / Sonata
Concentrated	One or few segments	Moderate	Higher (segment dependency)	Rolls-Royce
Micromarketing	Local or individual level	High (data and tech)	Low (highly relevant offers)	Netflix

4. Criteria for effective targeting

Criterion	Meaning
Measurable	Size, purchasing power and profile can be estimated with reasonable accuracy
Accessible	Can be effectively reached and served through distribution and promotion
Substantial	Large and profitable enough to merit a dedicated marketing programme
Differentiable	Conceptually distinguishable; responds differently to different marketing mixes
Actionable	Effective programmes can realistically be designed and executed for it

5. Live cases

Amul – differentiated targeting

- **Household segment:** everyday milk, butter, ghee priced for value-conscious families
- **Premium segment:** Amul Gold, specialty cheeses for higher-income urban buyers
- **Youth & impulse segment:** ice creams, chocolates, flavoured milk

One trusted brand umbrella covers nearly the entire Indian dairy market.

Netflix – micromarketing

Personalised rows and thumbnails per account; thousands of behavioural micro-segments ("personalisation at scale"); localised regional originals (India, Korea, Spain) — micromarketing layered on differentiated regional content.

Important exam questions

- What is market targeting? Explain the types of targeting strategies with examples.
- What are the criteria for effective targeting?
- Why is targeting important?

Unit III-C · Positioning & Repositioning

> **Quick revision:** Positioning = place the brand occupies in the customer's mind relative to competitors. "Positioning is not what you do to a product. It is what you do to the mind of the prospect." (Ries & Trout). Repositioning = deliberately changing that place. 7 bases; 4 repositioning approaches.

1. Meaning

Positioning is the act of designing the company's offering and image to occupy a **distinctive place in the mind of the target market**.

- It is about **perception**, not the physical product
- Exists **relative to competitors** – never in isolation
- Happens **inside the customer's mind**, built through every touchpoint
- A **deliberate strategic choice**, not an accident of advertising

Why it matters

- 5,000+ brand messages per person per day; a first impression forms in seconds
- Top-of-mind recall drives default choice
- Clear, credible positioning lets a brand charge a **premium**; without it a brand becomes a commodity competing on price alone

2. Seven bases of positioning

#	Base	Idea	Example
1	Attribute	A specific product feature	Volvo – crash safety
2	Benefit	The problem it solves	Sensodyne – relief from tooth sensitivity
3	Use / occasion	When or how it is used	Gatorade – post-workout rehydration
4	User	Who it is designed for	Johnson's – gentle, baby-safe care
5	Competitor	Defined against a rival	Avis "We try harder" (vs Hertz)
6	Category	Create / lead a category	Red Bull – energy drinks
7	Quality / price	A clear value tier	Zara – fast fashion at accessible prices

3. Positioning statement

For [target segment] who [need / opportunity], [Brand] is a [category] that [key benefit], unlike [main competitor], because [reason to believe].

Volvo example: For safety-conscious families who need a dependable everyday car, Volvo is a premium automobile brand that delivers the industry's most advanced safety engineering – unlike other luxury brands – because of over 90 years of dedicated safety research (including inventing and freely sharing the 3-point seatbelt).

4. Perceptual mapping

Plot competitors on the two attributes that matter most to buyers (e.g. **price** vs **quality** / **prestige**: Rolls-Royce, BMW, Volvo high; Tata Motors, Maruti Suzuki lower). Clusters show over-crowded positions to avoid; empty quadrants (**white space**) reveal opportunities for new brands or repositioning moves.

5. Positioning cases

Brand	Move	Lesson
Volvo – "Safety"	Picked one attribute, refused to dilute; invented 3-point seatbelt (1959) and gave the patent away	Attribute positioning needs decades of consistent, credible investment
Apple – "Think Different" (1997)	Repositioned around creativity and simplicity for "the crazy ones", not specs or price	Positioning can be emotional / aspirational
FedEx (1978)	"When it absolutely, positively has to be there overnight" – one benefit; whole operating model built around it	A single proven benefit can become category shorthand ("FedEx it")

6. Repositioning

Deliberately changing how customers perceive a brand relative to competitors, with or without changing the product.

Triggers

- Sales decline or shrinking relevance
- Shifting consumer values or lifestyles
- New, better-positioned competitors
- Brand image out of sync with the product
- Move into a new customer segment
- Product improvements the market hasn't noticed

Four approaches

Approach	Product	Audience	Notes
Image	Same	New perception	Change tone, channels, creative (heritage brand adopting a youthful voice)
Product	Improved	Same audience	Reformulate/rebuild the product to match the promise
Intangible	Same	New segment	Keep product; shift targeting and messaging
Tangible	New product	New audience	Change both offering and target; highest risk, highest reward

Repositioning cases

- **Old Spice** (2010) – image repositioning: "The Man Your Man Could Smell Like"; comedic viral social-first campaign aimed at young men and the women who buy for them; tone and channel alone revived a heritage brand.
- **Domino's** (2009) – product + tangible: aired customer complaints, admitted criticism, reformulated the entire recipe; the product must actually change first.
- **Cadbury Dairy Milk** (India) – intangible: "Kuch Khaas Hai" / "Kuch Meetha Ho Jaye"; cricket-ground dance ad reframed chocolate as celebration for all ages, from a children's treat.

Positioning vs repositioning

Aspect	Positioning	Repositioning
When used	New brand/product entering a market	Existing brand facing decline or market shift
Goal	Establish a clear, distinct place in the mind	Change or refresh existing perception
Starting point	Blank slate	Must overcome existing (often outdated) perception

Risk	Lower	Higher – old associations can resurface
Product change	Not required	May or may not be required
Example	FedEx entering express delivery (1970s)	Old Spice (2010)

Key takeaways

1. Positioning lives in the customer's mind, not in the factory or spec sheet.
2. Own **one word or idea** where possible.
3. A positioning statement should guide every downstream marketing decision.
4. Repositioning is costly and risky – only with clear evidence.
5. Consistency over years builds true category ownership.

Important exam questions

- What is positioning? Explain its bases with examples.
- What is repositioning? Why and how do brands reposition?
- Write a positioning statement for a brand of your choice.
- Distinguish between positioning and repositioning.

Unit III-D · Indian Brand Cases (Positioning)

> **Quick revision:** Positioning = owning one idea (Fevicol = unbreakable strength). Repositioning = brand moved because the market, customer or competition moved (Lifebuoy: carbolic soap → health & hygiene mission).

Part 1 – Positioning: owning a space from day one

Brand	Sector	Core positioning	Target	Why it stuck
Fevicol	Adhesives	"Fevicol ka jod hai, tootega nahi" – strongest, unbreakable bond (70%+ share long held)	Carpenters, contractors, households	Owned ONE word – unbreakable strength – for decades
Amul	Dairy / FMCG	"The Taste of India" – dependable, witty, everyday dairy brand	Every Indian household	Farmer-owned cooperative + topical Amul Girl ads (75+ years)
Raymond	Apparel / fabric	"The Complete Man" (1990s) – fabric as symbol of success and masculinity	Middle to upper-class men	Sold identity and aspiration, not just cloth
Parle-G	Biscuits	"G for Genius" – affordable nutrition and everyday energy	Mass, price-sensitive households	Unbeatable price-to-nutrition value; never chased premium
Kingfisher	Beverages / lifestyle	"King of Good Times" (1978)	Young, urban, socially active	Lifestyle, not just a drink
Nirma	Detergents	"Sabki Pasand Nirma" (1969) – honest, value-for-money cleaning	Price-sensitive middle and lower income	Positioned on price when rivals chased premium
Patanjali	FMCG / Ayurveda	"Swadeshi & natural" (peak growth 2016)	Health-conscious, value and nation-minded	"Natural + Made in India" as single core promise
OYO	Hospitality	Trusted, predictable budget stay anywhere in India (2013)	Budget and first-time travellers	Standardised experience in a category that had none

Part 2 – Repositioning: changing the story

Brand	Before	After	Key fact

Maruti Suzuki	Mass-market "everyman" car brand	NEXA premium retail experience for aspirational buyers	NEXA launched 2015 (Baleno, Ciaz)
Titan	Challenger vs HMT – "just a time-telling device"	Fashion and lifestyle accessory; youth brand Fastrack	No. 1 watch brand in a decade of 1984 launch
Cadbury Dairy Milk	A treat "only for children"	"Kuch Meetha Ho Jaye" – everyday indulgence for all ages	1994 campaign
Lifebuoy	Carbolic soap sold on smell and germ-kill to working class	Modern health & hygiene brand; "H for Handwashing"	"Help a Child Reach 5" campaign
Surf Excel	Functional promise – "removes tough stains"	"Daag Achhe Hain" – stains as proof of learning, good childhood values	"Dirt is Good" platform 2010
Bajaj Auto	"Hamara Bajaj" – dependable family scooter, nostalgia	Pulsar – sporty, performance-led for young riders	"Definitely Male" 2001
Airtel	Functional connectivity – network and call quality	"Har Ek Friend Zaroori Hota Hai" – emotional, youth-first	2010
Tata Tea	Commodity tea sold on taste and aroma	"Jaago Re" – social-awakening platform on voting and civic issues	2007

Big takeaways

1. **Positioning is a choice; repositioning is survival.** Fevicol, Amul and Parle-G show owning ONE clear idea beats trying to be everything.
2. Lifebuoy, Surf Excel and Titan changed their story when the market or customer moved on.
3. Data should follow the brand, not lead it; every case started with a customer insight, then measured what mattered.

Unit III-E · Value Proposition

> **Quick revision:** A value proposition is a short, simple statement of what benefit you give, what problem you solve, and why you beat the rest. 7 types: Low pricing, Quality, Customisation, Convenience, Uniqueness, Innovation, Customer results.

1. Meaning

A value proposition is a simple statement that explains **what benefit(s)** a product or service provides and **how it solves a problem** for customers. Found on websites, product pages, packaging, ads and sales talk. Its purpose is to explain **why a customer should choose you over competitors** by highlighting features and benefits that make you stand out. It helps attract and retain customers, differentiate, and create an emotional connection.

Synonyms: brand / business / customer / product value proposition; value proposition statement.

Simple formula

Problem (what hurts?) → **Solution** (how we fix it) → **Benefit** (what they gain) → **Why us** (what is special).

Example: Swiggy – you are hungry, order on the app, food arrives fast, huge choice.

Why it matters

Attract new customers; **keep** old ones (trust); **stand out** from others.

2. Seven types

#	Type	Meaning	Example
1	**Low pricing**	Competitive prices; budget items, discount stores, multi-month subscriptions	Jio – free calls and cheap data

2	**Quality**	Superior materials, certifications, reputation; justifies higher price	Tata – a name families trust
3	**Customisation**	Personalised experience; choose features, colours, designs	Nike By You
4	**Convenience**	Time saved, ease of use	Swiggy – hot food at your door
5	**Uniqueness**	Product unique in market; solves problem better; exclusivity	Apple "Think Different"
6	**Innovation**	Cutting-edge features and latest technology	Tesla – electric cars with smart software
7	**Customer results**	"Holy grail" – helps customers achieve outcomes better than they could alone	Uber (reach on time), Slack (all tools in one place), Duolingo (learn in minutes a day)

Quiz match: "Think Different" = Uniqueness; "All your tools in one place" = Customer results; "Lowest price guaranteed" = Low pricing; "Design your own shoes" = Customisation.

3. Brand vs product value proposition

Brand VP	Product VP
Overarching promise; core values, mission, long-term benefit; "why the company exists"; consistent across touchpoints	Specific to one product; solves a particular problem, delivers unique features, meets needs of a segment; tactical, tied to purchase decisions; "why one item is worth buying"
Nike: inspire every athlete	Running shoe: light and soft for long runs

Align product VPs under a strong brand VP for a unified experience.

4. How to write one (6 steps)

1. Determine your **ideal customer profile (ICP)** – demographics, needs, wants, pain points
2. Identify the customer's **main pain point**
3. Determine **how your product solves** the problem
4. Craft a **compelling message** – straightforward, relevant, emotionally resonant
5. **Test** it (A/B testing)
6. **Refine and align** across all touchpoints

For [customer] who [has a problem], our [product] gives [benefit], unlike [others].

Example: For hungry students who hate long queues, our Pre-Order Canteen serves hot food in 5 minutes. No waiting!

5. Keys to a successful value proposition

- **Focus on customer needs** – address pain points
- **Keep it simple** – one clear line
- **Showcase competitive advantage**
- **Test and refine**
- **Get personal**

Examples

- **Apple** "Think Different" – uniqueness
- **Uber** "Ride anywhere" – customer results, convenience
- **Slack** "All your tools in one place" – customer results

Important exam questions

- What is a value proposition? Explain its types with examples.
- How do you write a value proposition? Write one for a product of your choice.
- Differentiate between brand and product value proposition.

Part B - Important questions

1. Define market segmentation. Explain its bases and benefits.
2. What is market targeting? Explain the four targeting strategies and the criteria for effective targeting.
3. What is positioning? Explain its bases; explain repositioning with Indian examples (Cadbury, Titan, Lifebuoy).
4. What is a value proposition? Explain its seven types and how to write one.
5. Assignment questions: compare segmentation of two brands; analyse a company's targeting strategy; study a brand's positioning/repositioning.

Part C - Detailed model answers (26)

Q1. [10 marks] Discuss positioning and repositioning strategies of Indian brands with at least six examples.

Indian brand cases

Introduction

Positioning is a choice; repositioning is survival - brands change their story when the market, customer or competition moves on.

Positioning cases

Brand	Idea owned	Why it worked
Fevicol	Unbreakable strength	One word owned for decades
Amul	"The Taste of India"	Cooperative + topical Amul Girl ads
Parle-G	"G for Genius"	Affordable nutrition for the masses
Raymond	"The Complete Man"	Sold identity, not cloth
Nirma	"Sabki Pasand"	Price-led value when rivals went premium
OYO	Trusted budget stay	Standardised a fragmented category

Repositioning cases

Brand	Before	After
Maruti Suzuki	Mass-market car brand	NEXA premium experience (2015)
Titan	Time-telling device	Fashion accessory; Fastrack for youth
Cadbury Dairy Milk	Children's treat	"Kuch Meetha Ho Jaye" for all ages (1994)
Lifebuoy	Carbolic soap	Health and hygiene mission
Surf Excel	Functional stain removal	"Daag Achhe Hain" (values, 2010)
Airtel	Network features	Emotional youth storytelling (2010)

Lessons

- Own one clear idea.
- Reposition only with evidence; the product must support the new promise.
- Every case began with a customer insight.

Marking scheme: Intro 1 + positioning 3 + repositioning 4 + lessons 2

Asked in: Unit III assignment (AI-based) Q3

Q2. [2 marks] Name two Indian brands that are positioned on a single idea and state the idea.

Indian brands

- **Fevicol** - unbreakable strength ("Fevicol ka jod hai, tootega nahi").
- **Parle-G** - "G for Genius": affordable nutrition and energy for everyone.

Marking scheme: 2 × 1

Q3. [3 marks] Explain how Cadbury Dairy Milk repositioned itself in India.

Indian brands

1. **Before:** seen mainly as a children's treat; adults rarely bought it.
2. **Move (1994):** the "Kuch Meetha Ho Jaye" campaign and cricket-ground dance ad reframed it as a way to celebrate any moment.
3. **Result:** India's largest chocolate brand bought by all age groups - an **intangible repositioning** that opened a new user base.

Marking scheme: 3 × 1

Q4. [6 marks] Explain with Indian examples how brands (a) position and (b) reposition themselves.

Indian brands

Positioning (owning one idea)

Brand	Positioning
Fevicol	Unbreakable strength - "Fevicol ka jod hai, tootega nahi"
Amul	"The Taste of India", everyday dairy with topical ads
Parle-G	"G for Genius" - affordable nutrition for all
Raymond	"The Complete Man" - fabric as identity

Repositioning (changing the story)

Brand	From → To
Maruti Suzuki	Mass-market car → premium NEXA experience (2015)
Titan	Time-telling device → fashion accessory; Fastrack for youth
Cadbury Dairy Milk	Children's treat → "Kuch Meetha Ho Jaye" for all ages
Lifebuoy	Carbolic soap → health and hygiene mission
Surf Excel	"Removes stains" → "Daag Achhe Hain" (values)
Airtel	Network features → emotional "Har Ek Friend Zaroori Hai"

> **Marking scheme:** Positioning 3 + repositioning 3

Asked in: Unit III assignment (AI-based) Q3

Q5. [2 marks] What is positioning? What is repositioning?

Positioning

Positioning is designing the offering and image to occupy a distinctive place in the **mind of the target market** relative to competitors.

Repositioning is deliberately changing that perception, with or without changing the product.

> **Marking scheme:** Each 1

Asked in: Unit III assignment (AI-based) Q3

Q6. [2 marks] What is a perceptual map?

Positioning

A diagram plotting competing brands on **two attributes that matter to buyers** (e.g. price and quality) to show crowded positions and the **white space** where a new brand or repositioning can fit.

> **Marking scheme:** Meaning 1.5 + use 0.5

Q7. [3 marks] Explain any three bases of positioning with examples.

Positioning

1. **Attribute** - Volvo: crash safety.
2. **Benefit** - Sensodyne: relief from sensitivity.
3. **Use** / **occasion** - Gatorade: post-workout.
4. **User** - Johnson's: baby-safe care.
5. **Competitor** - Avis "We try harder".
6. **Category** - Red Bull.
7. **Quality** / **price** - Zara.

> **Marking scheme:** 3 × 1

Asked in: Unit III assignment (AI-based) Q3

Q8. [3 marks] What are the four approaches to repositioning?

Positioning

Approach	Product	Audience	Example
Image	Same	New perception	Old Spice
Product	Improved	Same	Domino's
Intangible	Same	New segment	Cadbury Dairy Milk
Tangible	New	New	Highest risk, highest reward

Marking scheme: 4 × ¾

Q9. [5 marks] Distinguish between positioning and repositioning.

Positioning

Basis	Positioning	Repositioning
When used	New brand or product entering a market	Existing brand facing decline or market shift
Goal	Establish a clear distinct place in the mind	Change or refresh existing perception
Starting point	Blank slate	Must overcome existing, often outdated, perception
Risk	Lower	Higher - old associations resurface
Product change	Not required	May or may not be required
Example	FedEx (1970s)	Old Spice (2010)

Marking scheme: 5 × 1

Asked in: Unit III assignment (AI-based) Q3

Q10. [6 marks] What is positioning? Explain its bases and the approaches to repositioning with Indian examples.

Positioning

Positioning = owning a distinct place in the customer's mind relative to competitors. Ries & Trout: "what you do to the mind of the prospect."

Bases

- Attribute (Volvo: safety)
- Benefit (Sensodyne)
- Use/occasion (Gatorade)
- User (Johnson's)
- Competitor (Avis)
- Category (Red Bull)
- Quality/price (Zara)

Repositioning approaches

Approach	Example
Image	Old Spice (2010)
Product	Domino's recipe change
Intangible (new user base)	Cadbury Dairy Milk "Kuch Meetha Ho Jaye"
Tangible	Maruti NEXA premium retail (2015)

Other Indian cases: Fevicol, Amul, Titan/Fastrack, Lifebuoy, Surf Excel "Daag Achhe Hain".

Marking scheme: Meaning 1 + bases 2 + approaches 2 + examples 1

Asked in: Unit III assignment (AI-based) Q3

Q11. [10 marks] Explain positioning and repositioning: meaning, bases, positioning statement, perceptual mapping, repositioning triggers and approaches with cases.

Positioning & repositioning

Meaning

Occupying a distinct place in the customer's mind; positioning is about perception, relative to competitors, and a deliberate strategic choice.

Seven bases

- Attribute, benefit, use/occasion, user, competitor, category, quality/price

Positioning statement

For [segment] who [need], [Brand] is a [category] that [benefit], unlike [competitor], because [reason to believe].

Perceptual map

Price vs quality map reveals white space.

Repositioning

- Triggers: sales decline, shifting values, new competitors, image out of sync.
- Approaches: image, product, intangible, tangible.

Case	Move	Lesson
Old Spice (2010)	New comic voice	Tone alone can revive a brand
Domino's (2009)	New recipe + honesty	Product must change first
Cadbury Dairy Milk	Adults and all occasions	New user base unlocks growth

Indian cases: Fevicol, Amul, Titan, Lifebuoy, Maruti NEXA.

> **Marking scheme:** Meaning 1 + bases 1.5 + statement 1.5 + map 1 + repositioning 3 + cases 2

Asked in: Unit III assignment (AI-based) Q3

Q12. [3 marks] What is STP? Explain in brief.

STP

Step	Meaning	Question
Segmentation	Divide the total market into homogeneous groups	Who are the groups?
Targeting	Choose which segment(s) to serve	Whom should we serve?
Positioning	Build a distinct place in the customer's mind	How should we be seen?

The marketing mix (4Ps) is then designed for the chosen target.

> **Marking scheme:** 3 × 1

Q13. [10 marks] Explain the STP process: segmentation (bases and benefits), targeting (strategies) and positioning (bases and repositioning).

STP

Segmentation

Dividing the market into homogeneous groups (Kotler).

Base	Question	Examples
Geographic	Where?	Climate, region, urban/ rural

Demographic	What?	Age, gender, income
Psychographic	Who?	Lifestyle, personality
Behavioural	How?	Benefits, usage, loyalty

- Benefits: right target choice, better marketing mix, efficient effort, small firms can compete.

Targeting

- Undifferentiated (salt), differentiated (Titan), concentrated (Rolls-Royce), micromarketing (Netflix).
- Criteria: measurable, accessible, substantial, differentiable, actionable.

Positioning

- Bases: attribute, benefit, use, user, competitor, category, quality/price.
- Repositioning: image, product, intangible, tangible.

Example: Maruti NEXA, Cadbury "Kuch Meetha Ho Jaye", Fevicol.

Marking scheme: Segmentation 4 + targeting 3 + positioning 3

Q14. [2 marks] Define market segmentation.

Segmentation

Kotler: sub-dividing of customers into **homogeneous sub-sets**, where any sub-set may conceivably be selected as a market target to be reached with a **distinct marketing mix**.

Marking scheme: Definition 2

Asked in: Unit III assignment (AI-based) Q1

Q15. [3 marks] Explain any three bases of market segmentation.

Segmentation

Base	Variables	Example
Geographic	Region, climate, urban/rural	Metro vs rural pricing
Demographic	Age, gender, income	HCL below ₹10,000 income PCs
Psychographic	Lifestyle, personality	Titan watches
Behavioural	Benefits sought, usage rate, loyalty	Johnson's loyalty

Marking scheme: 3 bases × 1

Asked in: Unit III assignment (AI-based) Q1

Q16. [5 marks] Explain the benefits of market segmentation.

Segmentation

1. Distinguishes one customer group from another.
2. Helps choose the right target market.
3. Allows the marketing mix to match customer expectations precisely.
4. Small firms with limited resources can compete efficiently.
5. Makes marketing effort more efficient (divide and conquer).
6. Explains customer needs and preferences better.

Link: STP = Segmentation → Targeting → Positioning.

Marking scheme: 5 benefits × 1

Q17. [6 marks] Explain the bases of market segmentation with examples and state its benefits.

Segmentation

Base	Variables	Example
Geographic	Climate, region, country, urban / rural	Metro vs rural pricing
Demographic	Age, gender, income, occupation, family size, education	HCL: below ₹10,000 income group → 14.5% share

Psychographic	Lifestyle, personality, values, attitude	Titan, Cafe Coffee Day
Behavioural	Benefits sought, usage rate, loyalty, occasion	Johnson's; Cadbury for occasions

Benefits

- Distinguishes one customer group from another
- Facilitates choice of target market and efficient effort
- Marketing mix matches customer expectations
- Small firms with limited resources compete better

Marking scheme: Bases 4 + benefits 2

Asked in: Unit III assignment (AI-based) Q1

Q18. [2 marks] What is niche (concentrated) marketing?

Targeting

Going after a **large share of one or a few small segments** instead of a small share of a large market, allowing deep specialisation.

Example: Rolls-Royce in ultra-luxury cars.

Marking scheme: Meaning 1.5 + example 0.5

Q19. [3 marks] State the criteria for effective targeting.

Targeting

1. **Measurable** - size and purchasing power can be estimated.
2. **Accessible** - can be reached and served.
3. **Substantial** - large and profitable enough.
4. **Differentiable** - responds differently to different mixes.
5. **Actionable** - programmes can be designed and executed.

Marking scheme: 5 criteria, ⅗ each

Q20. [5 marks] Explain the criteria for effective targeting.

Targeting

Criterion	Meaning
Measurable	Size, purchasing power and profile can be estimated
Accessible	Can be reached and served through distribution and promotion
Substantial	Large and profitable enough for a dedicated programme
Differentiable	Responds differently to different marketing mixes
Actionable	Effective programmes can be designed and executed

Example: Amul targets household, premium and youth segments with separate offers.

Marking scheme: 5 × 1

Q21. [6 marks] What is market targeting? Explain the targeting strategies with examples.

Targeting

Targeting is evaluating segments and selecting one or more to enter - the bridge between segmentation and positioning.

Strategy	Meaning	Example
Undifferentiated	One offer for the whole market	Salt, Coca-Cola classic
Differentiated	Separate offers for several segments	Titan / Fastrack / Sonata; Amul
Concentrated (niche)	Large share of one small segment	Rolls-Royce, Rolex

Micromarketing	Local or individual level	Netflix, "Share a Coke"

Criteria: measurable, accessible, substantial, differentiable, actionable.

Marking scheme: Meaning 1 + 4 strategies × 1 + criteria 1

Asked in: Unit III assignment (AI-based) Q2

Q22. [2 marks] What is a value proposition?

Value proposition

A short statement that explains **what benefit** a product gives, **what problem** it solves and **why the customer should choose it** over competitors.

For [customer] who [problem], our [product] gives [benefit], unlike [others].

Marking scheme: Definition 1.5 + formula 0.5

Asked in: Unit III assignment (AI-based) Q4

Q23. [3 marks] State the types of value propositions with one example each (any three).

Value proposition

1. **Low pricing** - Jio.
2. **Customisation** - Nike By You.
3. **Convenience** - Swiggy.
4. **Uniqueness** - Apple "Think Different".
5. **Innovation** - Tesla.
6. **Customer results** - Uber, Slack.
7. **Quality** - Tata.

Marking scheme: 3 × 1

Q24. [3 marks] How do you write a value proposition? (steps)

Value proposition

1. Determine the ideal customer profile.
2. Identify the main pain point.
3. Show how the product solves it.
4. Craft a clear message.
5. Test it (A/B testing).
6. Refine and align across touchpoints.

Marking scheme: 6 steps, ½ each

Asked in: Unit III assignment (AI-based) Q4

Q25. [6 marks] What is a value proposition? Explain its types and how to write one.

Value proposition

A statement of the benefit and the problem solved, and why customers should choose you.

Type	Example
Low pricing	Jio
Quality	Tata
Customisation	Nike By You
Convenience	Swiggy
Uniqueness	Apple
Innovation	Tesla
Customer results	Uber, Slack, Duolingo

How to write

1. Know your ideal customer (ICP)
2. Find the pain point
3. Show how you solve it
4. Craft a clear message
5. Test it (A/B)
6. Refine and align across touchpoints

Marking scheme: Meaning 1 + types 3 + steps 2

Asked in: Unit III assignment (AI-based) Q4

Q26. [10 marks] What is a value proposition? Explain its types, how to write one, the keys to a good one and the difference between brand and product value propositions.

Value proposition

Meaning

A statement explaining what benefit a product gives, what problem it solves and why customers should choose it over competitors. Formula: Problem → Solution → Benefit → Why us.

Seven types

Type	Example
Low pricing	Jio - free calls and cheap data
Quality	Tata - a name families trust
Customisation	Nike By You
Convenience	Swiggy
Uniqueness	Apple "Think Different"
Innovation	Tesla
Customer results	Uber, Slack, Duolingo

Steps to write

1. Ideal customer profile
2. Pain point
3. How you solve it
4. Message
5. Test (A/B)
6. Refine and align

Keys to success

- Focus on needs
- Keep it simple
- Show your edge
- Test and refine
- Get personal

Brand vs product

Brand VP	Product VP
Why the company exists; consistent across touchpoints	Why one item is worth buying; tactical
Nike: inspire every athlete	Running shoe: light and soft for long runs

Example: For hungry students who hate queues, our Pre-Order Canteen serves hot food in 5 minutes.

Marking scheme: Meaning 1.5 + types 3 + steps 2 + keys 1 + brand/product 1.5 + example 1

Asked in: Unit III assignment (AI-based) Q4

UNIT IV

Marketing Mix: Product, Price, Place, Promotion

Part A - Notes

Unit IV-A · Product (mix, NPD, PLC, branding, packaging)

> **Syllabus - Unit IV (13 lectures) - Marketing Mix (4Ps):** Product - product mix, NPD, PLC, branding & packaging. Price - pricing methods, adapting & discriminating price. Place - distribution channels, types & logistics. Promotion - promotion mix tools (advertising, personal selling, sales promotion, PR, digital media).

[extra] No notes PDF for Unit IV in your MARKETING folder - this page follows the syllabus topics and standard textbooks (Kotler & Keller; Saxena). Check against your class notes.

1. The marketing mix

The **marketing mix** is the set of controllable tools a firm blends to produce the response it wants in the target market (E. Jerome McCarthy: the 4Ps; Kotler). Its aim is to deliver value to the chosen segment (STP) and to build a profitable customer relationship.

P	Customer view (4Cs)	Decisions
Product	Customer solution / value	Variety, quality, design, features, brand name, packaging, services
Price	Customer cost	List price, discounts, payment terms, credit
Place	Convenience	Channels, coverage, assortment, locations, inventory, logistics
Promotion	Communication	Advertising, personal selling, sales promotion, PR, direct / digital

> **Mnemonic: 4Ps** = Product, Price, Place, Promotion. Services add People, Process, Physical evidence (7Ps).

2. Product - meaning and levels

A **product** is anything that can be offered to a market to satisfy a want or need - goods, services, experiences, persons, places, ideas.

Level	Meaning	Example (smartphone)
Core benefit	Basic need satisfied	Communication
Actual (generic) product	Features, quality, design, brand, packaging	Model, camera, display, brand
Augmented product	Extra services and benefits	Warranty, after-sales service, free delivery, easy EMI

Classification

Consumer goods	Industrial goods
Convenience (bread, soap), shopping (clothes, phone), specialty (luxury watch), unsought (insurance)	Raw materials, capital goods (machinery), supplies and services

3. Product mix

The **product mix** (assortment) is the set of all products and items a seller offers. A **product line** is a group of

closely related products.

Dimension	Meaning	Example (FMCG company)
Width	Number of different product lines	Soaps, detergents, shampoos, foods = 4 lines
Length	Total number of items in all lines	All variants of all lines
Depth	Number of versions of each product	Shampoo in 3 sizes x 4 variants
Consistency	How closely the lines are related	All sold through the same channels

4. New product development (NPD)

> **Flow:** Idea generation → Idea screening → Concept development & testing → Marketing strategy → Business (commercial) analysis → Product development → Test marketing → Commercialisation

- **Idea generation** - customers, employees, R&D, competitors.
- **Screening** - drop poor ideas early (GO / DROP).
- **Concept testing** - test the idea with target customers.
- **Business analysis** - sales, cost and profit forecasts.
- **Product development** - prototype and technical tests.
- **Test marketing** - limited launch in a selected market.
- **Commercialisation** - full launch: when, where, to whom, how.

Many new products fail because of poor market research, wrong timing, high cost or weak promotion.

5. Product life cycle (PLC)

Stage	Sales / profit	Features	Marketing strategy
Introduction	Low sales, losses	Few competitors, high promotion cost	Create awareness; skimming or penetration pricing; limited distribution
Growth	Rapid sales rise, profits grow	Competitors enter, acceptance increases	Improve quality, add features, widen distribution, build brand preference
Maturity	Sales peak, profit highest then falls	Intense competition, price cutting	Modify market / product / marketing mix; defend share
Decline	Sales and profit fall	Changing tastes, new technology	Harvest, divest or drop; reduce cost

6. Branding

A **brand** is a name, term, sign, symbol or design (or a combination) that identifies the goods or services of one seller and differentiates them from competitors.

- **Brand name** - the part that can be spoken (Nike).
- **Brand mark** - the symbol or design (the swoosh).
- **Trademark** - the legally protected brand or part of it.
- **Brand equity** - the value a brand adds to the product (awareness, loyalty, perceived quality, associations).

Features of a good brand name: short, easy to pronounce and remember, suggests product benefits, distinctive, legally registrable, suits all markets.

Brand strategy	Meaning	Example
Line extension	New variants in the same category under the same brand	New flavour of a biscuit
Brand extension	Existing brand used in a new category	Brand of soaps launching shampoo

Multi-brand	Several brands in the same category	Different detergent brands of one firm
Private (store) brand	Brand owned by the retailer	Retail chain's own label

7. Packaging and labelling

- **Primary** package - holds the product (tube of toothpaste). **Secondary** - outer box. **Tertiary** - bulk shipping cartons.

Functions: protection, containment, convenience, identification and promotion (the silent salesman), information, safety and tamper-resistance, brand image.

Labelling: printed information on the package - brand, ingredients, price (MRP), net quantity, manufacturing / expiry date, usage and warnings; it supports consumer information and the law.

> **Quick revision - Product**
> - Three levels: core, actual, augmented
> - Mix: width, length, depth, consistency
> - NPD: 8 stages (idea to commercialisation)
> - PLC: introduction, growth, maturity, decline
> - Brand name, brand mark, trademark, brand equity
> - Packaging: primary, secondary, tertiary

Unit IV-B · Price (methods, adapting, discriminating)

[extra] No notes PDF for Unit IV in your MARKETING folder - this page follows the syllabus topics and standard textbooks (Kotler & Keller; Saxena). Check against your class notes.

1. Price - meaning and importance

Price is the amount of money charged for a product or service, or the sum of the values customers exchange for the benefit of having or using it. It is the only element of the mix that produces **revenue**; all others are costs. Price also signals quality and positions the brand.

Factors affecting pricing

Internal factors	External factors
Marketing objectives, cost of production, marketing-mix strategy, organisation, product life-cycle stage	Demand and customer perception, competition, economic conditions, government regulations, channel members

Pricing objectives

- Survival (in a tough market)
- Profit maximisation / target return
- Market share leadership
- Product-quality leadership
- Cash recovery

2. Pricing methods

Approach	Method	How it works
Cost-based	Cost-plus (mark-up) pricing	Price = cost + a fixed percentage mark-up
Cost-based	Target-return pricing	Price set to earn a target return on investment
Cost-based	Break-even pricing	Price at which total revenue equals total cost

Demand-based	Perceived-value pricing	Price according to what customers believe the product is worth
Demand-based	Demand differentials	Different prices for different segments, times, places
Competition-based	Going-rate pricing	Price at or near competitors' prices
Competition-based	Sealed-bid pricing	Price quoted in tenders based on expected competitor bids

> **Example (cost-plus):** unit cost Rs 80 and mark-up 25% → price = 80 + (25% of 80) = **Rs 100**. **Break-even units** = fixed cost / (price - variable cost per unit).

3. Pricing strategies for new products

	Market skimming	**Market penetration**
Meaning	High initial price, lowered later	Low initial price to win market share fast
Suitable when	Product is new and unique; image of quality; buyers willing to pay	Market is price-sensitive; competition will enter quickly; economies of scale
Example	New gadget at a premium price	Telecom data plans at very low prices

4. Adapting prices

Strategy	**Meaning**	**Example**
Psychological pricing	Prices that appeal to emotions	Rs 999 instead of Rs 1,000
Promotional pricing	Temporary price cuts to boost sales	Festival sale, loss leader
Geographical pricing	Price depends on location / transport	Delivery charges, zone pricing
Discounts and allowances	Cash, quantity, seasonal, trade discounts	2% cash discount for early payment
Product-mix pricing	Pricing across a line or bundle	Price lining, bundle pricing, optional-product pricing

5. Price discrimination (discriminating price)

Price discrimination means charging different prices to different customers (or in different markets) for the same product, not justified by differences in cost.

Basis	**Example**
By customer segment	Student, senior-citizen or member discounts
By time	Peak and off-peak fares; early-bird tickets
By place	Different prices in different cities or countries
By product version	Economy vs premium seats; basic vs pro software

Conditions: the market can be separated into segments, customers cannot easily resell, and the segments have different price sensitivity. **Degrees:** first (each customer pays the maximum they will), second (quantity-based), third (group-based).

> **Quick revision - Price**
>
> - Methods: cost-based, demand-based, competition-based
> - Skimming = high first, penetration = low first
> - Adapting: psychological, promotional, geographical, discounts, product-mix
> - Price discrimination = different prices, same product, different customers

Unit IV-C · Place (channels, types, logistics)

[extra] No notes PDF for Unit IV in your MARKETING folder - this page follows the syllabus topics and standard textbooks (Kotler & Keller; Saxena). Check against your class notes.

1. Place (distribution) - meaning

Place covers all activities that make the product available to the target customers at the right **time, place and quantity**: distribution channels, coverage, assortment, locations, inventory, transport and logistics.

2. Distribution channels - levels

Channel	Path	Example
Zero-level (direct)	Manufacturer → Consumer	Door-to-door, own online store, factory outlet
One-level	Manufacturer → Retailer → Consumer	Car showroom, apparel brand stores
Two-level	Manufacturer → Wholesaler → Retailer → Consumer	Fast-moving consumer goods
Three-level	Manufacturer → Agent → Wholesaler → Retailer → Consumer	Goods sold in distant markets

Type of intermediary	Role
Wholesaler	Buys in bulk, stores, breaks bulk and sells to retailers
Retailer	Sells to the final consumer in small quantities
Agent / broker	Brings buyers and sellers together for a commission
Distributor / dealer	Handles distribution for a particular manufacturer

Functions of channels

- Make goods available (time and place utility); break bulk; carry stock; finance and risk-bearing; information and promotion; after-sales service.

3. Channel decisions

Strategy	Meaning	Used for
Intensive distribution	Product in as many outlets as possible	Convenience goods (soap, snacks)
Selective distribution	A limited number of chosen outlets	Shopping goods (appliances)
Exclusive distribution	Only one outlet in a territory	Luxury goods, cars

Factors affecting channel choice: nature of product (perishable, bulky, technical), market (number and location of customers), manufacturer's resources and control wanted, competition, cost of channel, legal rules. In modern marketing, **omni-channel** and online marketplaces combine physical and digital channels.

4. Logistics (physical distribution)

Logistics is the planning, implementing and controlling of the physical flow of materials and finished goods from point of origin to point of use, to meet customer needs at a profit.

Element	Role
Order processing	Receive, check and execute customer orders quickly and accurately
Warehousing	Storing goods; storage and distribution centres
Inventory management	Keep the right stock - avoid shortage and excess
Transportation	Move goods by road, rail, air, sea - cost, speed, safety
Packaging and materials handling	Protect goods in transit; loading and unloading

Objective: the right goods, at the right place and time, in the right condition and at the lowest total cost. **Importance:** customer satisfaction, cost saving, competitive advantage. Supply chain management (SCM) coordinates the whole chain from suppliers to customers.

> **Quick revision - Place**
>
> - Channels: zero, one, two, three level
> - Intermediaries: wholesaler, retailer, agent, distributor
> - Intensive, selective, exclusive distribution
> - Logistics: order processing, warehousing, inventory, transport, handling

Unit IV-D · Promotion (mix, advertising, selling, PR, digital)

[extra] No notes PDF for Unit IV in your MARKETING folder - this page follows the syllabus topics and standard textbooks (Kotler & Keller; Saxena). Check against your class notes.

1. Promotion - meaning

Promotion is the marketing communication that informs, persuades and reminds target customers about the product and the company. The combination of promotional tools is the **promotion mix**.

Objectives

- Create awareness and interest
- Build brand image and preference
- Persuade customers to buy / retain customers
- Counter competition
- Support the launch of a new product

> **Mnemonic: AIDA** = Attention → Interest → Desire → Action (what good promotion achieves).

2. Promotion mix tools

Tool	Meaning	Merits	Limitations
Advertising	Paid, non-personal presentation of ideas, goods or services by an identified sponsor (TV, print, radio, outdoor, online)	Wide reach, repeated message, builds image	Costly, impersonal, no instant feedback
Personal selling	Face-to-face presentation by a salesperson to make a sale	Two-way, flexible, builds relationship, immediate feedback	High cost per contact, limited reach
Sales promotion	Short-term incentives to encourage purchase	Quick sales effect, attracts trial	Short lived; may reduce brand image
Public relations (PR)	Building good relations with the public through press releases, events, sponsorship and CSR	High credibility, low cost	Little control over media
Digital media / direct marketing	Online and direct channels - search, social, email, influencers, SMS	Targeted, measurable, interactive, low cost	Clutter; needs data and skills

3. Advertising - decisions

> **Flow:** Set objectives → Budget → Message (copy) → Media selection → Evaluate results

- **Media:** television, newspapers and magazines, radio, outdoor (hoardings), cinema, internet and mobile.
- **Evaluating:** sales effect, recall tests, reach and frequency.

4. Personal selling - steps

> **Flow:** Prospecting → Pre-approach → Approach → Presentation and demonstration → Handling objections → Closing → Follow-up

5. Sales promotion

Consumer promotion	Trade promotion
Free samples, coupons, price-off, premiums (gifts), contests and lotteries, cash refunds, loyalty points	Trade discounts, display allowances, dealer contests, free goods, push money, training of sales staff

6. Public relations

Tools: press releases, press conferences, events, product publicity, sponsorship, corporate social responsibility (CSR), annual reports and crisis communication. PR builds trust and a good corporate image at low cost.

7. Digital media

- **Search engine marketing** (SEO, pay-per-click), **social media marketing**, **email and SMS**, **content and video**, **influencer** and **affiliate marketing**.
- Benefits: precise targeting, measurable (CTR, conversions), interactive, low entry cost.

8. Push vs pull strategy

Push strategy	Pull strategy
Promotion aimed at channel members (trade offers, personal selling) to push the product through	Promotion aimed at final consumers (advertising, consumer offers) so that they demand the product from retailers

Factors affecting the promotion mix: type of product, stage of the PLC, target market, budget, push / pull strategy, competitors' promotion.

> **Quick revision - Promotion**
> - Mix: advertising, personal selling, sales promotion, PR, digital / direct
> - AIDA
> - Selling steps: 7 (prospecting to follow-up)
> - Push (to the channel) vs pull (to the consumer)

Part B - Important questions

1. What is the marketing mix? Explain the 4Ps with decisions and examples.
2. Explain the levels of a product and the product mix (width, length, depth, consistency).
3. Explain the stages of new product development; why do new products fail?
4. What is the product life cycle? Explain its stages and the strategy for each stage with a diagram.
5. What is a brand? Explain brand name, mark, trademark, equity and branding strategies.
6. Explain the functions of packaging and labelling.
7. Explain the factors affecting pricing and the main pricing methods (cost-based, demand-based, competition-based).
8. Distinguish between market skimming and market penetration pricing.
9. Explain price adaptation strategies and price discrimination with examples.
10. Explain the levels of distribution channels, the functions of intermediaries and factors affecting channel choice.
11. Explain intensive, selective and exclusive distribution.
12. What is logistics? Explain its elements and importance.
13. What is the promotion mix? Explain its tools with merits and limitations.
14. Explain advertising (objectives, media, decisions) and the steps in personal selling.
15. Explain sales promotion, public relations and digital media; push vs pull strategy.

Part C - Detailed model answers (26)

Q1. [6 marks] Explain price adaptation strategies and price discrimination with examples.

Adapting Prices

Adapting prices

Strategy	Meaning	Example
Psychological	Prices that appeal to emotion	Rs 999 instead of Rs 1,000
Promotional	Temporary price cuts	Festival sale
Geographical	Price by location / transport	Delivery charges, zone pricing
Discounts and allowances	Cash, quantity, seasonal discounts	2% for early payment
Product-mix pricing	Pricing across a line or bundle	Bundle pricing

Price discrimination

Charging **different prices for the same product** to different customers without a matching cost difference - by segment (student discount), time (peak and off-peak), place or product version. It works only if the market can be separated and buyers cannot resell.

> **Marking scheme:** Adapting strategies 3 · discrimination 3

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q2. [6 marks] What is advertising? Explain its objectives, media and the steps in making an advertising decision.

Advertising

Meaning

Advertising is any paid, non-personal presentation of ideas, goods or services by an identified sponsor.

Objectives

- Inform (launch), persuade (build preference), remind (keep awareness).

Media

- Television, newspapers and magazines, radio, outdoor hoardings, cinema, internet and mobile.

Steps

Flow: Set objectives → Budget → Message (copy) → Media selection → Evaluate results

> **Marking scheme:** Meaning 1 · objectives 1.5 · media 1.5 · steps 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q3. [2 marks] Define brand equity.

Branding

The added value a brand gives to a product - arising from brand awareness, loyalty, perceived quality and associations - so that customers prefer it and pay more.

> **Marking scheme:** Definition 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q4. [6 marks] What is a brand? Explain brand name, brand mark, trademark and brand equity. Discuss any two branding strategies.

Branding

Meaning

A **brand** is a name, term, sign, symbol or design - or a combination - that identifies one seller's goods and separates them from competitors.

Term	Meaning	Example
Brand name	The part that can be spoken	Nike
Brand mark	The symbol or design	The swoosh
Trademark	Legally protected brand	Registered logo
Brand equity	Value a brand adds: awareness, loyalty, quality, associations	Customers pay more for the brand

Two strategies

- **Line extension** - new variants in the same category (new flavour of a biscuit).
- **Brand extension** - the existing brand used in a new category (a soap brand launching shampoo).

Features of a good brand name: short, easy to say and remember, suggests benefits, distinctive and registrable.

> **Marking scheme:** Meaning 1 · four terms 2 · two strategies 2 · features 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q5. [5 marks] Explain the role of digital media in promotion with its tools and benefits.

Digital Promotion

- **Search engine marketing** - SEO and pay-per-click.
- **Social media marketing** and influencer / affiliate marketing.
- **Email and SMS** marketing; content and video marketing.

Benefits: precise targeting, measurable results (clicks, conversions), interactive, low entry cost. **Limits:** clutter and the need for data and skills.

> **Marking scheme:** Tools 3 · benefits 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q6. [5 marks] Explain intensive, selective and exclusive distribution with examples.

Distribution Channels

Strategy	Meaning	Used for	Example
Intensive	Product in as many outlets as possible	Convenience goods	Soap, snacks
Selective	A limited number of chosen outlets	Shopping goods	Appliances
Exclusive	Only one outlet in a territory	Luxury goods	Luxury cars

The choice depends on the product, price, image wanted and the control the firm wants over the sale.

> **Marking scheme:** Three strategies 3 · examples 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q7. [10 marks] What are distribution channels? Explain the types (levels) of channels, the functions of intermediaries and the factors affecting channel choice.

Distribution Channels

1. Meaning

A **distribution channel** is the path through which goods move from the producer to the consumer. **Place** makes goods available at the right time, place and quantity.

2. Channel levels

Channel	Path	Example
Zero-level (direct)	Manufacturer → Consumer	Own online store, door-to-door
One-level	Manufacturer → Retailer → Consumer	Car showroom
Two-level	Manufacturer → Wholesaler → Retailer → Consumer	FMCG goods
Three-level	Manufacturer → Agent → Wholesaler → Retailer → Consumer	Distant markets

3. Functions of intermediaries

- Break bulk and carry stock; time and place utility.
- Finance, risk-bearing, information and promotion; after-sales service.

4. Factors affecting channel choice

- Nature of product (perishable, bulky, technical).
- Market: number and location of customers.
- Manufacturer's resources and control wanted; competition; cost; legal rules.

5. Conclusion

Modern firms use omni-channel - physical and digital together - to maximise reach and convenience.

> **Marking scheme:** Meaning 1 · levels table 4 · functions 2 · factors 2 · conclusion 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q8. [3 marks] Write short notes on warehousing and inventory management.

Logistics

Warehousing: storing goods in depots and distribution centres until they are needed, creating time utility.

Inventory management: keeping the right quantity of stock - enough to avoid stock-outs, not so much that it raises carrying cost.

> **Marking scheme:** Each 1.5

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q9. [6 marks] What is logistics? Explain its elements and importance.

Logistics

Meaning

Logistics (physical distribution) is the planning, implementing and controlling of the flow of goods from point of origin to point of use, to meet customer needs at a profit - the right goods, at the right place and time, in the right condition, at lowest total cost.

Elements

Element	Role
Order processing	Receive and execute orders quickly and accurately
Warehousing	Store goods in depots / distribution centres
Inventory management	Keep the right stock - avoid shortage and excess
Transportation	Road, rail, air, sea - cost, speed, safety
Materials handling and packaging	Protect goods in transit

Importance

- Customer satisfaction; cost saving; competitive advantage.

> **Marking scheme:** Meaning 2 · elements 3 · importance 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q10. [2 marks] Define marketing mix.

Marketing Mix

The set of controllable tools - product, price, place and promotion - that a firm blends to produce the response it wants in the target market.

> **Marking scheme:** Definition 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q11. [10 marks] What is the marketing mix? Explain the 4Ps with decisions in each element and examples.

Marketing Mix

1. Introduction

The **marketing mix** is the set of controllable tools - **Product, Price, Place and Promotion** - that a firm blends to get the response it wants from its target market (E. Jerome McCarthy; Kotler). The mix is built after segmentation, targeting and positioning, so that every P supports the chosen position.

2. The four Ps

P	Key decisions	Example
Product	Variety, quality, design, features, brand, packaging, services	A phone with brand, camera, warranty
Price	List price, discounts, credit terms, pricing method	Rs 999 psychological price
Place	Channels, coverage, locations, inventory, logistics	Soap in every kirana store
Promotion	Advertising, personal selling, sales promotion, PR, digital	TV ad plus social media campaign

3. 4Ps and 4Cs

4Ps (seller)	4Cs (buyer)
Product	Customer solution
Price	Customer cost
Place	Convenience
Promotion	Communication

4. Extended mix for services

Services add **People, Process and Physical evidence** (7Ps).

5. Conclusion

The four Ps must be consistent: a luxury product with a high price needs exclusive outlets and prestige advertising. A weak P spoils the whole mix.

> **Marking scheme:** Introduction 2 · table of 4Ps 4 · 4Cs 1 · conclusion 1 · example 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q12. [10 marks] Explain the stages of new product development (NPD). Why do many new products fail?

New Product Development

1. Introduction

New product development is the process of taking a new idea to the market. It reduces risk by screening ideas stage by stage.

2. Stages

Flow: Idea generation → Screening → Concept testing → Marketing strategy → Business analysis → Product development → Test marketing → Commercialisation

Stage	What happens
Idea generation	Ideas from customers, employees, R&D, competitors
Idea screening	Poor ideas dropped (GO / DROP)
Concept testing	Idea tested with target customers
Marketing strategy	Target market, positioning, first-year plan
Business analysis	Sales, cost and profit forecasts
Product development	Prototype, technical tests
Test marketing	Limited launch in a selected market
Commercialisation	Full launch: when, where, to whom, how

3. Reasons for failure

- Poor market research and wrong timing.
- High development cost, weak promotion or poor distribution.
- Product not different from existing ones.
- Over-estimated market size; strong competitor reaction.

4. Conclusion

Disciplined screening and test marketing are the best protection against failure.

> **Marking scheme:** Introduction 1 · stages with table 6 · failure reasons 2 · conclusion 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q13. [3 marks] What are the types of packaging? Give examples.

Packaging

- Primary - holds the product (toothpaste tube).
- Secondary - outer box that holds the primary pack.
- Tertiary - bulk cartons for shipping and storage.

> **Marking scheme:** 3 types 1 each

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q14. [5 marks] Explain the functions of packaging and the role of labelling.

Packaging

Levels

- **Primary** - holds the product (toothpaste tube).
- **Secondary** - outer box.
- **Tertiary** - bulk shipping cartons.

Functions

- **Protection** from damage, spoilage and tampering.
- **Convenience** in storing, handling and use.
- **Promotion** - the 'silent salesman' attracts attention on the shelf.
- **Identification** of brand and variant.
- **Information** and safety instructions.

Labelling

The label gives brand, ingredients, MRP, net quantity, manufacturing / expiry dates, usage and warnings. It

informs the buyer and meets legal requirements.

Marking scheme: Levels 1 · functions 3 · labelling 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q15. [6 marks] Explain the steps in the personal selling process.

Personal Selling

Flow: Prospecting → Pre-approach → Approach → Presentation and demonstration → Handling objections → Closing → Follow-up

Step	What the salesperson does
Prospecting	Finds and qualifies likely buyers
Pre-approach	Learns about the prospect, plans the call
Approach	Meets the buyer, builds rapport
Presentation	Shows features and benefits, demonstrates
Handling objections	Answers doubts positively
Closing	Asks for the order
Follow-up	Ensures delivery, satisfaction, repeat sales

Marking scheme: Seven steps with explanation, 1 mark each (less 1)

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q16. [10 marks] What is pricing? Explain the factors affecting pricing and the main pricing methods with examples.

Pricing Methods

1. Meaning

Price is the amount charged for a product or service. It is the only P that produces revenue and it signals quality and position.

2. Factors affecting pricing

Internal	External
Marketing objectives, cost, marketing-mix strategy, PLC stage	Demand, competition, economic conditions, government rules, channel members

3. Pricing methods

Approach	Method	How it works
Cost-based	Cost-plus	Price = cost + mark-up (cost Rs 80, 25% = Rs 100)
Cost-based	Break-even / target-return	Cover total cost or earn a target return
Demand-based	Perceived-value	Price by what buyers think it is worth
Competition-based	Going-rate / sealed-bid	Follow rivals or bid in tenders

Break-even units = Fixed cost ÷ (Price – Variable cost per unit)

4. Conclusion

A good price covers cost, matches the product's perceived value and stays competitive.

Marking scheme: Meaning 1 · factors 2 · methods 5 · formula 1 · conclusion 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q17. [2 marks] What is price discrimination?

Pricing Strategies

Charging different prices to different customers or in different markets for the same product, not justified by cost differences - e.g. student discounts, peak and off-peak fares.

Marking scheme: Definition 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q18. [5 marks] Distinguish between market skimming and market penetration pricing.

Pricing Strategies

Basis	Market skimming	Market penetration
Meaning	High initial price, lowered later	Low initial price to win share fast
Aim	Recover cost quickly; premium image	Large market share, volume
Suitable when	Product new and unique; buyers willing to pay	Price-sensitive market; rivals will enter; economies of scale
Risk	Invites competitors	Low profit initially; hard to raise price
Example	New gadget at a premium price	Telecom data plans at very low prices

Marking scheme: Any 5 points with table

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q19. [2 marks] What is a product line?

Product

A group of closely related products that work in a similar way, are sold to the same customers, or through the same channels - e.g. all soaps of one company.

Marking scheme: Definition 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q20. [10 marks] What is a product? Explain the levels of a product and the product mix with examples.

Product

1. Meaning

A **product** is anything offered to a market to satisfy a want or need - goods, services, experiences, persons, places or ideas.

2. Levels of a product

Level	Meaning	Example (smartphone)
Core benefit	The basic need being met	Communication
Actual product	Brand, features, design, quality, packaging	Model, camera, display
Augmented product	Extra services and benefits	Warranty, after-sales service, EMI

3. Product mix

The **product mix** is the set of all products a seller offers. A **product line** is a group of closely related products.

Dimension	Meaning
Width	Number of product lines (soaps, detergents, foods)
Length	Total number of items in all lines
Depth	Number of versions of each product (sizes x variants)
Consistency	How closely the lines are related

4. Conclusion

Firms widen the mix to spread risk and deepen it to cover more segments; a consistent mix saves cost on distribution and promotion.

Marking scheme: Meaning 1 · levels 3 · mix dimensions 4 · example 1 · conclusion 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q21. [10 marks] What is the product life cycle? Explain its stages and the marketing strategies for each stage with a diagram.

Product Life Cycle

1. Meaning

The **product life cycle (PLC)** shows the stages a product passes through from launch to withdrawal: sales and profit change with each stage, so the marketing mix must change as well.

Sales ↑ — Introduction (slow rise) → Growth (steep rise) → Maturity (peak, flattening) → Decline (fall). Profit curve peaks near the end of growth / early maturity.

2. Stages and strategies

Stage	Sales / profit	Strategy
Introduction	Low sales, losses	Create awareness; skimming or penetration pricing; limited distribution
Growth	Rapid sales, profit rises	Improve quality, add features, widen distribution, build preference
Maturity	Sales peak, profit highest then falls	Modify market, product and mix; defend share; promotions
Decline	Sales and profit fall	Harvest, divest or drop; cut cost

3. Limitations

- Not all products follow the curve; stage length varies.
- Hard to identify the current stage; fashions and fads have short cycles.

4. Conclusion

PLC is a planning tool: it tells the manager when to push, defend or exit.

Marking scheme: Meaning 1 · diagram 2 · stages 4 · limitations 1 · conclusion 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q22. [3 marks] State the AIDA model.

Promotion Mix

AIDA describes the stages good promotion leads a buyer through: **A**ttention → **I**nterest → **D**esire → **A**ction (purchase).

Marking scheme: Four stages

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q23. [5 marks] Distinguish between push and pull strategies of promotion.

Promotion Mix

Basis	Push	Pull
Target	Channel members (wholesalers, retailers)	Final consumers
Tools	Trade offers, personal selling	Advertising, consumer offers
Aim	Push the product through the channel	Make consumers demand it from retailers
Suitable for	Industrial goods, new brands needing shelf space	Branded consumer goods

Marking scheme: Any 4-5 points

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q24. [10 marks] What is the promotion mix? Explain its tools with merits and limitations.

Promotion Mix

1. Meaning

Promotion is marketing communication that informs, persuades and reminds customers. The blend of tools is the **promotion mix**. Good promotion follows **AIDA**: Attention, Interest, Desire, Action.

2. Tools

Tool	Meaning	Merits	Limitations
Advertising	Paid, non-personal presentation by an identified sponsor	Wide reach, builds image	Costly, impersonal
Personal selling	Face-to-face presentation to make a sale	Two-way, flexible, relationship	High cost per contact
Sales promotion	Short-term incentives (samples, coupons, contests)	Quick sales effect	Short lived
Public relations	Press releases, events, sponsorship, CSR	Credible, low cost	Little control over media
Digital media	Search, social, email, influencers	Targeted, measurable, cheap	Clutter, needs data skills

3. Factors affecting the mix

- Type of product, PLC stage, target market, budget, push / pull strategy, competitors.

4. Conclusion

An integrated mix gives one consistent message across tools.

> **Marking scheme:** Meaning and AIDA 2 · five tools 5 · factors 1 · conclusion 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q25. [5 marks] What is public relations? Explain its tools and importance.

Public Relations

Public relations (PR) builds good relations between the company and its publics.

- Tools: press releases and conferences, events, product publicity, sponsorship, CSR, crisis communication.
- Importance: builds trust and a good image at low cost; high credibility.

> **Marking scheme:** Meaning 1 · tools 2 · importance 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q26. [5 marks] What is sales promotion? Explain consumer and trade promotion tools.

Sales Promotion

Sales promotion means short-term incentives used to encourage the purchase or sale of a product.

Consumer promotion	Trade promotion
Free samples, coupons, price-off, premiums (gifts), contests, cash refunds, loyalty points	Trade discounts, display allowances, dealer contests, free goods, push money

Limitation: effect is short-lived; frequent discounts can lower brand image.

> **Marking scheme:** Meaning 1 · consumer 2 · trade 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

APPENDIX

Exam Master - framework, mnemonics, flowcharts, last-night plan

> **Exam format (from the syllabus image):** Course F010303TN · Core Course III · Credits 4 · Max marks 25 (internal) + 75 (external) · Min pass 10 + 25 · L-2 T-0 P-0 · 45 lectures: Unit I 11 · Unit II 11 · Unit III 10 · Unit IV 13. **Date:** Thu 26 Nov 2026, 11:30 AM - 1:30 PM (written, 2 hours).

> **Course outcomes:** (CO1) explain core marketing concepts and management philosophies; (CO2) analyse consumer behaviour and apply marketing research tools; (CO3) develop segmentation, targeting and positioning strategies; (CO4) design an integrated marketing mix for a product or service.

1. How to write a good answer

Marks	Structure
2-3	Definition → 3-4 points → one concluding line
5-6	Definition → intro → table / flowchart → 5-6 explained points → conclusion
Long answer	Headings, a table or diagram, a real brand example (Nike, Amul, Jio, Fevicol), conclusion

Use Indian brand examples - they earn marks. Draw the PLC curve, the channel levels and the NPD flow.

2. Syllabus map - what to master

Unit	Topics
I (11)	Definition, nature, scope, importance; core concepts; orientations (production, product, selling, marketing, societal); digital and green marketing
II (11)	Consumer behaviour: concept, importance, factors (cultural, social, personal, psychological); MIS: meaning, importance, scope; marketing research: process, tools, importance
III (10)	Segmentation (concept, bases, importance); targeting (types, strategies); positioning, brand positioning and repositioning; value proposition
IV (13)	Product (mix, NPD, PLC, branding, packaging); price (methods, adapting, discriminating); place (channels, types, logistics); promotion (advertising, personal selling, sales promotion, PR, digital media)

3. Mnemonic bank

Mnemonic	Recall
4Ps	Product, Price, Place, Promotion
STP	Segmentation, Targeting, Positioning
G-D-P-B	Segmentation bases: Geographic, Demographic, Psychographic, Behavioural
P-P-S-M-S	Orientations: Production, Product, Selling, Marketing, Societal
C-S-P-P	Consumer behaviour factors: Cultural, Social, Personal, Psychological
IGS-CD-MBD-TC	NPD: Idea, Screening, Concept, Marketing strategy, Business analysis, Development, Test market, Commercialisation
I-G-M-D	PLC: Introduction, Growth, Maturity, Decline
AIDA	Attention, Interest, Desire, Action
W-L-D-C	Product mix: Width, Length, Depth, Consistency

4. Flowcharts to reproduce

> **Flow:** Idea generation → Screening → Concept testing → Strategy → Business analysis → Development →

> Test marketing → Launch

> **Flow:** Introduction → Growth → Maturity → Decline

> **Flow:** Manufacturer → Wholesaler → Retailer → Consumer

> **Flow:** Prospecting → Pre-approach → Approach → Presentation → Objections → Closing → Follow-up

5. Last-night plan

Time	What to do
Block 1 - 45 min	Unit I: definitions, core concepts, five orientations, green and digital marketing
Block 2 - 45 min	Unit II: consumer behaviour factors and buying process, MIS, research process
Block 3 - 45 min	Unit III: STP, bases, targeting strategies, positioning, repositioning, value proposition
Block 4 - 60 min	Unit IV: product mix, NPD, PLC, pricing methods, channels, promotion mix
Final 15 min	Write 3 answers from memory with a table and an example

Golden rule: cover every unit - mnemonics, tables and one example per answer. Do not start new topics in the last hours.